

DEMAND / SUPPLY / INVENTORY / MOVEMENT

Supply Chain and Logistics English

Plan the demand. Confirm the movement.

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Eight scenarios. Eight extended conversations.

INSIDE THE BOOK

192 vocabulary entries / 128 reusable phrases

160 dialogue turns / 80 numbered dialogue gaps

Word banks and explained answer keys

Upper-intermediate to advanced (B2-C1). For demand planners, buyers, inventory teams, logistics coordinators, and supply-chain leaders.

2026 edition

Eight scenarios. Eight skills.

Eight conversations that turn forecasts, inventory records, supplier messages, and shipment updates into precise decisions.

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Every commitment needs a clear basis.

Supply-chain work connects people who measure different things and promise different outcomes. Sales discusses demand; a supplier confirms an order; a carrier estimates arrival; a warehouse reports stock. None of those statements automatically answers all the others. These cases develop the language for distinguishing estimates, available resources, completed movements, and decisions that still need confirmation.

Name the demand evidence

Separate a historical result, a forecast, a sales target, and a confirmed order. An attractive promotion can justify a scenario without becoming booked demand or erasing an earlier forecasting pattern.

"The uplift is a scenario assumption, not an order on the books."

Follow the status of the movement

Order acknowledged, ready, collected, departed, arrived, and delivered describe different stages. Ask which event the date refers to and whose confirmation supports it.

"Is Wednesday the estimated warehouse arrival or the planned departure?"

Look below the total

A large inventory balance can hide shortages of particular items or stock that is allocated, blocked, or in another location. State which quantity is actually available for the relevant demand.

"The total is high, but these two items still have no available stock."

Make the decision and conditions explicit

A meeting should distinguish an approved action from an unresolved assumption. Name the owner, the evidence needed, and the next review without treating the absence of objections as a recorded decision.

"We have agreed the base plan; the promotion increment remains conditional."

PROFESSIONAL BOUNDARIES

Original fictional language practice, not customs, legal, financial, transport-safety, or inventory-policy advice. All figures, shipments, organizations, and negotiations are invented. Use applicable law, governing contracts, current trade rules, authorized decisions, and qualified review. US customs examples are identified; requirements differ by jurisdiction.

Three optimistic forecasts and a new promotion

A Read the situation

Explain signed forecast error, distinguish bias from error size, and keep an unconfirmed promotional uplift separate from the baseline.

Demand planner Aisha and sales lead Martin review monthly forecasts of 120, 130, and 140 units against verified demand of 100, 110, and 120. For this case, signed error means forecast minus actual demand. Next month's baseline is 120 units. Sales proposes a 30-unit promotional uplift but has no order evidence for it. Aisha and Martin must describe the three-month pattern and preserve the promotion as a scenario without treating either historical bias or future uplift as a certainty forever.

PEOPLE / Aisha: Demand planner | Martin: Sales lead

SEPARATE OPTIMISM FROM EVIDENCE

A sales opportunity can deserve attention without being entered as confirmed demand. Acknowledge the opportunity, then ask for the assumption and evidence. Keeping baseline and upside visible lets colleagues discuss the commercial case without rewriting historical results or pretending that a forecast is an order.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is each month's signed error under the stated convention?

- | | |
|------------------------|-------------------------|
| A Plus 20 units | B Minus 20 units |
| C Zero units | D Plus 120 units |

2. What is the next-month baseline?

- | | |
|-------------------------------|--------------------|
| A 150 confirmed orders | B 30 units |
| C 390 units | D 120 units |

3. What supports the promotional uplift as confirmed orders?

- | | |
|--|--|
| A Three months of overforecasting prove the uplift. | B The baseline itself is a signed purchase order. |
| C A proposal automatically becomes booked demand. | D No order evidence is supplied. |

[Answers and explanations: page 76.](#)

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

demand forecast

An estimate of future demand for a defined item and period.

IN USE prepare a demand forecast

actual demand

The observed demand under the stated measurement definition.

IN USE reconcile actual demand

forecast bias

A tendency for forecasts to be systematically too high or too low.

IN USE monitor forecast bias

signed error

The forecast difference calculated with an explicitly stated direction.

IN USE state the signed-error convention

mean error

The average signed forecast error across the defined observations.

IN USE calculate mean error

absolute error

The size of a forecast error without its positive or negative sign.

IN USE compare absolute errors

mean absolute error

The average absolute error across the defined observations.

IN USE report mean absolute error

overforecast

A forecast greater than the corresponding actual demand.

IN USE identify an overforecast

underforecast

A forecast below the corresponding actual demand.

IN USE investigate an underforecast

baseline forecast

The reference forecast before a separately identified adjustment.

IN USE preserve the baseline forecast

promotional uplift

Additional demand expected because of a promotion.

IN USE qualify promotional uplift

incremental demand

Demand additional to the specified base rather than displaced from elsewhere.

IN USE estimate incremental demand

Precision check

With error defined as forecast minus actual, the three errors are +20, +20, and +20 units. Total error is +60 and mean error is +20. Positive means overforecasting under this convention; other systems may reverse the sign.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

cannibalization

A gain in one product's demand at the expense of another's.

IN USE assess demand cannibalization

seasonality

A recurring demand pattern tied to a calendar or cycle.

IN USE account for seasonality

trend

A sustained directional movement in a series over time.

IN USE distinguish trend from noise

forecast horizon

The future period covered by a forecast.

IN USE define the forecast horizon

forecast lag

The time between making a forecast and the period being forecast.

IN USE compare forecasts at the same lag

forecast snapshot

A saved version of the forecast at a specified time.

IN USE preserve the forecast snapshot

consensus forecast

A forecast agreed through the relevant cross-functional planning process.

IN USE review the consensus forecast

demand signal

Information indicating demand behavior or potential change.

IN USE evaluate a demand signal

booked order

An order recorded under the organization's order definition.

IN USE distinguish booked orders

scenario assumption

A premise used to construct a possible future case.

IN USE document the scenario assumption

forecast override

A deliberate adjustment to a model or baseline forecast.

IN USE justify a forecast override

forecast value added

Improvement in a defined forecast measure from a specified planning step.

IN USE evaluate forecast value added

Precision check

Zero mean signed error does not prove perfect forecasts: +10 and -10 cancel even though both forecasts missed. Mean absolute error would be 10. Next month, 120 plus a proposed 30 is a 150-unit scenario, not 150 confirmed orders.

Phrases you can actually use

C Notice the language / 1 of 2

STATE THE CONVENTION

"Here we define signed error as forecast minus actual demand."

NAME THE AVERAGE

"Mean signed error is plus 20 units over these three months."

SEPARATE SIZE AND DIRECTION

"Absolute error measures the miss without its sign."

IDENTIFY THE INCREMENT

"Sales proposes a 30-unit promotional uplift."

DESCRIBE THE PATTERN

"Each of the three forecasts exceeded actual demand by 20 units."

LIMIT THE CONCLUSION

"This pattern does not prove every future forecast will be high."

KEEP THE REFERENCE

"The next-month baseline remains 120 units."

QUALIFY THE SCENARIO

"That produces a 150-unit scenario, not confirmed demand."

Bias

Directional tendency, not a moral judgment about the planner.

Positive

Has meaning only after the error-sign convention is stated.

Actual

Needs a measurement definition; shipments and unconstrained demand may differ.

Phrases you can actually use

C Notice the language / 2 of 2

ASK FOR EVIDENCE

"What order or response evidence supports the proposed increment?"

USE A CONSISTENT SNAPSHOT

"Compare the forecast version that existed at the agreed planning point."

CHECK DISPLACEMENT

"Is the uplift additional demand or partly shifted from another item?"

EVALUATE THE CONTRIBUTION

"Assess whether the adjustment improves the defined forecast measure."

AVOID HISTORICAL ERASURE

"A future promotion does not change the earlier forecast errors."

DISTINGUISH A TARGET

"A sales target is not automatically an unbiased demand estimate."

RECORD THE OVERRIDE

"Keep the adjustment, owner, and rationale visible."

CLOSE THE DISCUSSION

"Present baseline, upside, and supporting evidence separately."

Uplift

An increment against a specified baseline, not necessarily booked orders.

Consensus

An agreed forecast can still be wrong.

Snapshot

Preserves what was forecast at the time, avoiding hindsight substitution.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. What is the total signed error across the three months?
 - A Plus 60 units
 - B Plus 20 units
 - C Minus 60 units
 - D Zero because demand increased

2. Two other errors are +10 and -10. What follows?
 - A Bias and error size are always identical.
 - B Mean error is zero, but mean absolute error is 10.
 - C Both forecasts were perfect.
 - D Mean absolute error is zero.

3. Which next-month statement is precise?
 - A Baseline 120; proposed uplift 30; upside scenario 150; no order evidence supplied.
 - B Confirmed orders total 150.
 - C Historical overforecasting proves the promotion cannot work.
 - D The promotion eliminates the need to keep a baseline.

4. Why retain the original forecast snapshot?
 - A To replace old forecasts with actual demand before scoring
 - B To ensure every override appears successful
 - C To treat targets as customer orders
 - D To evaluate the forecast actually available at the agreed planning point

[Answers and explanations: page 76.](#)

Three optimistic forecasts and a new promotion

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

mean absolute error / forecast snapshot / cannibalization / mean error / booked order / signed error / baseline forecast / promotional uplift / overforecast / forecast override

- 01 **Martin:** Sales expects the promotion to improve demand next month. Before we add the uplift, can we agree what the last three months actually tell us?
- 02 **Aisha:** They show an ¹ _____ of twenty units in each month. The forecasts were one hundred twenty, one hundred thirty, and one hundred forty against lower actual demand.
- 03 **Martin:** The dashboard uses a positive error number. I want to make sure everyone reads the direction correctly, because another report seems to use the opposite sign.
- 04 **Aisha:** State the ² _____ convention beside it: forecast minus actual. Under this convention, each error is plus twenty; a different system may reverse that sign.
- 05 **Martin:** Then the total is plus sixty and the average is plus twenty. We should not call the total an average or leave the unit unspecified.
- 06 **Aisha:** Correct. The ³ _____ is plus twenty units across these three observations. That describes this period without proving that every future forecast must be too high.
- 07 **Martin:** What if positive and negative errors cancel in a later period? A zero average could look excellent even when individual months still miss by a meaningful amount.
- 08 **Aisha:** Compare ⁴ _____ as well. If the errors are plus ten and minus ten, the signed mean is zero but the average absolute miss is ten.
- 09 **Martin:** For next month, the reference forecast is one hundred twenty. Sales proposes another thirty because of the promotion, but we have no supporting orders yet.
- 10 **Aisha:** Keep the ⁵ _____ visible. We can show the thirty-unit proposal separately so people understand what comes from the reference and what comes from the new commercial assumption.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 10.

- 11 **Martin:** That gives a scenario of one hundred fifty. I do not want the planning team to dismiss the opportunity, but we should avoid calling it confirmed demand.
- 12 **Aisha:** Exactly. The ⁶ _____ is an expectation to evaluate. Ask what evidence supports the increment and whether the demand is genuinely additional rather than shifted from another product.
- 13 **Martin:** The campaign could move some existing customers from a related item. If we count all those purchases as new demand, the aggregate plan could be overstated.
- 14 **Aisha:** That would require assessing ⁷ _____. We should distinguish additional demand from redistribution before treating the whole increment as growth in the overall demand plan.
- 15 **Martin:** The planning record should also distinguish a sales target from an order. Commercial ambition matters, but it is not evidence that a customer has committed.
- 16 **Aisha:** Right. A ⁸ _____ has a different status from a forecast or target. We currently have no order evidence for the proposed thirty-unit increase.
- 17 **Martin:** When the next results arrive, let's evaluate the forecast version we actually used. Revising old numbers after seeing demand would make the performance comparison misleading.
- 18 **Aisha:** Preserve the ⁹ _____ and its planning date. We need a consistent lag and definition if we want to learn whether the adjustment helped.
- 19 **Martin:** I will present one hundred twenty as baseline and one hundred fifty as the promotion scenario, with the evidence gap stated. The historical errors will remain unchanged.
- 20 **Aisha:** Good. Record the proposed ¹⁰ _____ with its owner and rationale. That gives the opportunity a fair assessment without disguising uncertainty or treating the scenario as a customer commitment.

ANSWERS / EXPLANATIONS: PAGE 77

1. overforecast | 2. signed error | 3. mean error | 4. mean absolute error | 5. baseline forecast | 6. promotional uplift | 7. cannibalization | 8. booked order | 9. forecast snapshot | 10. forecast override

The sign does not measure certainty

F Say it

A forecast is 80 units and actual demand is 100. Error is defined as forecast minus actual. Next month has a 90-unit baseline and a proposed 15-unit uplift without orders.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

underforecast / assumption / minus / five

Planner: "The signed error is ¹ _____ twenty units."

Sales: "That is an ² _____."

Planner: "The next-month scenario totals one hundred ³ _____ units."

Sales: "The uplift remains an ⁴ _____, not booked orders."

ANSWERS / EXPLANATIONS: PAGE 77

1. minus | 2. underforecast | 3. five | 4. assumption

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Acknowledged, but not scheduled

A Read the situation

Request a usable supplier commitment by separating acknowledgment, quantities, shipment timing, arrival timing, and unresolved dependencies.

Buyer Keiko and supplier account manager Luis discuss purchase order P46 for 500 units. The supplier has acknowledged receipt but has given no shipping date. The buyer needs warehouse receipt by October 12. Capacity and transit timing are not confirmed. A supplier message promises an update tomorrow at noon, not dispatch tomorrow. Keiko must obtain a clear status and request line-level quantities and dates without treating the acknowledgment or update appointment as a delivery commitment.

PEOPLE / Keiko: Buyer | Luis: Supplier account manager

A PRECISE REQUEST IS EASIER TO ANSWER

Instead of asking whether an order is on track, identify the quantity, location, event, and date you need. Separate a request for information from a claim that the supplier has already promised it. This keeps a firm commercial discussion accurate even when the missing date is inconvenient.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What has the supplier confirmed?

- | | |
|--|---|
| A Receipt of order P46, not a shipping date | B Dispatch of all 500 units |
| C Warehouse receipt on October 12 | D Reserved capacity and transit time |

2. What does October 12 refer to?

- | | |
|--|--|
| A The date all units were already delivered | B Tomorrow's update appointment |
| C The buyer's required warehouse-receipt date | D The supplier's confirmed departure date |

3. What is promised for tomorrow at noon?

- | | |
|-----------------------------------|-------------------------------------|
| A Arrival at the warehouse | B A completed supplier audit |
| C An update | D Shipment of 500 units |

Answers and explanations: page 78.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

procurement

The process of sourcing and obtaining required goods or services.

IN USE coordinate procurement

purchase order

A buyer's order identifying goods, quantities, and relevant terms.

IN USE issue a purchase order

order acknowledgment

Confirmation that an order has been received or accepted as stated.

IN USE clarify the order acknowledgment

requested date

The date a party asks another party to meet.

IN USE distinguish requested and committed dates

committed date

A date a party has explicitly agreed to meet within stated terms.

IN USE obtain a committed date

ship date

The date goods leave the specified shipping point.

IN USE confirm the ship date

receipt date

The date goods arrive and are received at the stated location.

IN USE specify the required receipt date

supplier lead time

The time between defined order and supply events.

IN USE verify supplier lead time

transit time

The time spent moving goods between specified points.

IN USE confirm transit time

order line

A separate item-and-quantity entry within an order.

IN USE review each order line

partial shipment

Delivery of only part of the ordered quantity in one dispatch.

IN USE propose a partial shipment

backorder

Ordered demand that cannot yet be fulfilled as required.

IN USE track a backorder

Precision check

Order acknowledged does not specify which dates or quantities have been accepted. Ask what the acknowledgment covers. A requested warehouse-receipt date needs a compatible dispatch plan and transit basis; neither is established in this case.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

allocation

Assignment of limited supply to particular orders or customers.

IN USE confirm supply allocation

capacity commitment

A confirmed assignment of production capability for a specified need.

IN USE secure a capacity commitment

expediting

Action to accelerate or closely follow a delayed supply activity.

IN USE request expediting

minimum order quantity

The smallest quantity a supplier will accept under specified terms.

IN USE review the minimum order quantity

request for quotation

A buyer's request for a priced offer against defined requirements.

IN USE issue a request for quotation

quotation validity

The period or conditions under which a supplier's offer remains open.

IN USE confirm quotation validity

supplier scorecard

A structured summary of supplier performance against defined measures.

IN USE review the supplier scorecard

on-time delivery

Delivery within the agreed timing definition and tolerance.

IN USE define on-time delivery

on-time in-full

Delivery meeting both the agreed timing and quantity requirements.

IN USE measure on-time in-full

service-level agreement

An agreement defining specified service commitments and measures.

IN USE review the service-level agreement

commercial escalation

Referral of an unresolved supply issue to the appropriate decision level.

IN USE initiate a commercial escalation

status checkpoint

An agreed point for obtaining an updated status.

IN USE set a status checkpoint

Precision check

Tomorrow at noon is a status checkpoint, not a ship date. A proposed partial shipment must identify quantities, dates, and any remainder. Do not improve a supplier score by replacing the agreed performance basis after an order is late.

Phrases you can actually use

C Notice the language / 1 of 2

NAME THE ORDER

"This concerns P46 for 500 units."

STATE THE REQUIRED EVENT

"We need warehouse receipt by October 12."

REQUEST THE COMMITMENT

"Please confirm the quantity and committed ship date for each line."

ASK ABOUT TRANSIT

"What transit assumption supports the proposed arrival?"

CLARIFY ACKNOWLEDGMENT

"Does your acknowledgment confirm receipt only, or specific quantities and dates?"

SEPARATE DISPATCH

"A ship date is not the same as a warehouse-receipt date."

IDENTIFY MISSING CAPACITY

"Is capacity allocated to this order, or still under review?"

CLARIFY THE UPDATE

"Tomorrow at noon is the response time, not a dispatch commitment."

Acknowledged

Can mean received rather than scheduled; ask what is confirmed.

By

Sets a latest time for a specified event; name the event.

Committed

More definite than proposed or estimated, but still governed by the actual agreement.

Phrases you can actually use

C Notice the language / 2 of 2

KEEP PLANNING HONEST

"We cannot enter a confirmed receipt date without a supported supply plan."

PRESERVE THE TOTAL

"Show how the proposed shipments add up to all 500 units."

ESCALATE CONSTRUCTIVELY

"Please involve the person who can confirm allocation and timing."

AVOID AN INVENTED PROMISE

"I will report the date as unconfirmed until your commitment is clear."

EXPLORE A PARTIAL

"A partial shipment may help if quantities and the remainder are explicit."

ASK FOR THE CONSTRAINT

"What prevents you from confirming the date now?"

DEFINE THE MEASURE

"Are we scoring departure or receipt, and against which agreed date?"

CLOSE THE CHECKPOINT

"Please send the status tomorrow at noon even if the final date remains open."

Partial

Requires a quantity and a plan for what remains.

On time

Needs the agreed date, event, location, and tolerance.

Update

A communication event, not a physical shipment milestone.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which internal status is accurate now?

- A** All 500 units dispatched tomorrow at noon.
- B** The supplier has failed a confirmed date that is not supplied.
- C** P46 acknowledged; ship date, capacity, and transit basis unconfirmed.
- D** P46 confirmed for warehouse receipt October 12.

2. Which supplier question is most usable?

- A** Can you say it is on track?
- B** Will everything probably be fine?
- C** Can we mark it delivered because you received the order?
- D** What quantity can you commit to ship from which location on which date, with what transit basis?

3. The supplier proposes 200 units first and 300 later. What still needs clarification?

- A** Whether no remainder exists
- B** Dates, locations, terms, and status for both shipments
- C** Whether 200 plus 300 equals 500
- D** Whether a partial shipment means all units already arrived

4. How should tomorrow's noon appointment be reported?

- A** Supplier status update due; shipment date still unconfirmed
- B** Guaranteed dispatch at noon
- C** Guaranteed receipt at noon
- D** Automatic order cancellation at noon

Answers and explanations: page 78.

Acknowledged, but not scheduled

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

On-time delivery / capacity commitment / order line / commercial escalation / committed date / partial shipment / status checkpoint / order acknowledgment / receipt date / transit time

- 01 **Keiko:** Thank you for acknowledging P46. We ordered five hundred units and need them at our warehouse by October twelve, but your message does not include a ship date.
- 02 **Luis:** The ¹ _____ confirms receipt of the order. It does not yet confirm allocation or dispatch timing, and I do not want you to mistake it for that commitment.
- 03 **Keiko:** That distinction needs to stay visible in our plan. October twelve is the event at our warehouse, not the date we want the goods to leave your site.
- 04 **Luis:** Understood. That is your required ² _____. We need a compatible dispatch plan and transit basis before I can tell you whether we can support it.
- 05 **Keiko:** Your note also says tomorrow at noon. Our planner read that as the time the order would ship, but I think you meant the next response.
- 06 **Luis:** Correct. It is a ³ _____. I will provide an update then; it is not a promise that five hundred units will leave at noon.
- 07 **Keiko:** Please keep that appointment even if the final date remains unresolved. We need the actual status and the reason, not silence until every question is answered.
- 08 **Luis:** I will. The ⁴ _____ is still under review. I need the responsible planning team to confirm what capacity can be assigned to this order.
- 09 **Keiko:** When you have that assessment, please identify the quantity and timing for each item line. A single general date could hide different availability across the order.
- 10 **Luis:** I will report each ⁵ _____ separately where timing differs. The total needs to remain five hundred, with any split clearly linked to the original order quantities.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 19.

- 11 **Keiko:** A split could help our operations, but only if it is a real proposal with dates. Two hundred first and three hundred later would not be enough by itself.
- 12 **Luis:** Yes. A ⁶ _____ needs quantities, timing, and the remaining balance. I will not describe a possible split as though it has already been approved or dispatched.
- 13 **Keiko:** We also need to know the dispatch location and what the transport estimate includes. Otherwise a proposed departure date may not support the required warehouse arrival.
- 14 **Luis:** The ⁷ _____ basis must be explicit. We should identify the relevant route and conditions rather than assume a generic number covers every movement and receiving step.
- 15 **Keiko:** Then we can distinguish proposals from commitments. Our internal schedule should use the same status wording.
- 16 **Luis:** Exactly. I will label a ⁸ _____ only when the relevant commitment is established. Until then, the requested warehouse date and our unconfirmed supply timing must remain separate.
- 17 **Keiko:** If the planning team cannot resolve allocation, please involve the right decision maker. We need a practical next route without accusing anyone of breaking a date not yet promised.
- 18 **Luis:** I will use the ⁹ _____ process if needed. The update will identify the constraint and owner rather than replace the missing date with a vague assurance.
- 19 **Keiko:** For performance reporting later, let's also agree whether we measure dispatch or warehouse receipt. Moving between those definitions would make on-time performance misleading.
- 20 **Luis:** Agreed. ¹⁰ _____ needs a fixed basis. For now, report P46 as acknowledged with timing unconfirmed, and expect my status response tomorrow at noon.

ANSWERS / EXPLANATIONS: PAGE 79

1. order acknowledgment | 2. receipt date | 3. status checkpoint | 4. capacity commitment | 5. order line | 6. partial shipment | 7. transit time | 8. committed date | 9. commercial escalation | 10. On-time delivery

An update is not a departure

F Say it

A supplier acknowledges an order for 80 units. Receipt is requested on Friday. The supplier promises a status response on Tuesday but has not confirmed dispatch.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

unconfirmed / date / response / delivery

Buyer: "Friday is our requested receipt ¹ _____."

Supplier: "Tuesday is the promised status ² _____."

Buyer: "The ship date remains ³ _____."

Supplier: "Acknowledgment alone does not establish ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 79

1. date | 2. response | 3. unconfirmed | 4. delivery

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Plenty of inventory, none of these items available

A Read the situation

Explain item-level availability and service measures without treating a high total balance or safety-stock policy as proof of fulfillment.

Inventory planner Elena and distribution manager Omar review a warehouse with a total inventory value of two million dollars. Item A has 40 units on hand, all allocated to existing orders. Item B has 80 units on hand, all blocked by a quality hold. New orders for both items remain unfilled. No available substitute or confirmed replenishment date is supplied. Elena must explain why the headline value does not resolve these shortages and distinguish physical stock from stock available to promise.

PEOPLE / Elena: Inventory planner | Omar: Distribution manager

ANSWER THE QUESTION AT THE RIGHT LEVEL

A manager may ask how shortages are possible when inventory is high. Start by separating value, item identity, location, and usability. This turns a seeming contradiction into a concrete allocation and replenishment discussion without implying that all existing stock is useless or every policy has failed.

Briefing checks

Circle one answer in each item. Use the briefing.

1. How many A units are available to the new orders under the supplied facts?

- A** Zero, because all 40 are allocated
- B** Forty, because they are physically present
- C** Eighty, from item B
- D** Two million units

2. How many B units are currently available under the stated quality status?

- A** An unknown amount automatically released by demand
- B** Zero, because all 80 are blocked
- C** Eighty, because the total value is high
- D** Forty, because A is allocated

3. Why does the total value not resolve the shortages?

- A** Value aggregates different items and states and does not establish available A or B units.
- B** Dollars can be shipped as either product.
- C** All inventory must be physically absent.
- D** Every stockout proves the warehouse has zero total inventory.

Answers and explanations: [page 80](#).

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

stock-keeping unit

A distinct inventory item identifier, commonly abbreviated SKU.

IN USE analyze each stock-keeping unit

on-hand inventory

The quantity physically recorded at the stated location.

IN USE reconcile on-hand inventory

available inventory

Stock usable for the specified demand after relevant restrictions.

IN USE confirm available inventory

allocated stock

Stock assigned to particular demand or orders.

IN USE review allocated stock

blocked stock

Stock restricted from use under a defined status.

IN USE identify blocked stock

quality hold

A restriction pending the required quality review or decision.

IN USE respect a quality hold

available to promise

The quantity that can be committed under the defined supply-and-demand rules.

IN USE calculate available to promise

inventory position

A defined balance considering on-hand stock, incoming supply, and demand commitments.

IN USE state the inventory-position basis

safety stock

Buffer inventory intended to protect against specified uncertainty.

IN USE review safety-stock assumptions

cycle stock

Inventory supporting normal demand between replenishments.

IN USE distinguish cycle stock

reorder point

The inventory level or position that triggers replenishment under a policy.

IN USE review the reorder point

replenishment lead time

The elapsed time from a defined replenishment trigger to usable receipt.

IN USE measure replenishment lead time

Precision check

Physical presence does not establish free availability. All 40 A units are allocated; all 80 B units are blocked. Neither group is available for the new orders on the supplied facts. A total dollar value cannot be substituted for an item quantity.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

stockout

Inability to supply an item when required from the relevant inventory.

IN USE investigate stockouts

fill rate

The share of defined demand filled under the stated service measure.

IN USE define the fill-rate basis

cycle service level

The probability of avoiding a stockout during a defined replenishment cycle.

IN USE distinguish cycle service level

backorder

Demand retained for later fulfillment after it cannot be supplied as required.

IN USE track backorders

inventory turnover

A period's inventory usage or cost relative to the defined average inventory.

IN USE interpret inventory turnover

days of supply

Inventory expressed as coverage of demand at a stated rate.

IN USE calculate days of supply

slow-moving stock

Inventory used or sold less frequently than the defined threshold.

IN USE identify slow-moving stock

obsolete stock

Inventory no longer suitable or expected to meet its intended demand.

IN USE assess obsolete stock

ABC analysis

Grouping items by a selected importance measure, often annual consumption value.

IN USE perform ABC analysis

item segmentation

Grouping items by relevant demand, supply, or service characteristics.

IN USE refine item segmentation

inventory accuracy

Agreement between recorded and actual inventory under the defined measure.

IN USE improve inventory accuracy

reallocation

Authorized reassignment of stock from one demand to another.

IN USE assess a reallocation request

Precision check

Safety stock is a buffer against defined uncertainty, not a guarantee against every stockout. Fill rate and cycle service level measure different things. Name the demand unit, time period, location, restrictions, and service definition before comparing percentages.

Phrases you can actually use

C Notice the language / 1 of 2

03

START WITH THE DISTINCTION

"The value total does not show availability for these two items."

STATE B'S RESTRICTION

"All 80 B units remain blocked by the quality hold."

AVOID AN UNAUTHORIZED RELEASE

"New demand does not remove the quality restriction."

REQUEST ITEM-LEVEL DETAIL

"Show item, location, quantity, allocation, and status."

STATE A'S POSITION

"All 40 A units are allocated to existing orders."

KEEP AVAILABLE QUANTITY EXPLICIT

"Neither item has available stock for these new orders on the current facts."

AVOID DOUBLE-PROMISING

"We cannot promise the same allocated stock to two orders."

CLARIFY INCOMING SUPPLY

"A planned receipt is not yet usable on-hand inventory."

On hand

Describes recorded physical quantity, not necessarily free usable quantity.

Available

Must specify the demand, location, and restrictions.

Allocated

Assigned already; do not silently promise it again.

Phrases you can actually use

C Notice the language / 2 of 2

03

NAME THE SERVICE MEASURE

"Are we measuring units filled, complete orders, or stockout-free cycles?"

CHECK POLICY INPUTS

"Review demand variability and replenishment assumptions for the affected items."

DEFINE ANY REALLOCATION

"A priority change needs an authorized allocation decision."

STATE THE MISSING DATE

"No confirmed replenishment date is supplied."

KEEP THE BUFFER REALISTIC

"Safety stock reduces exposure to specified uncertainty; it is not a universal guarantee."

SEPARATE SLOW STOCK

"High value in another item does not supply a missing unit of A."

AVOID A PREMATURE POLICY FIX

"A larger buffer proposal needs an item-specific basis."

CLOSE THE EXPLANATION

"Report the headline value and the item-level shortage together."

Blocked

A controlled restriction, not a suggestion to ignore when demand rises.

Service level

An umbrella phrase; identify the actual measure.

Coverage

Depends on the chosen demand rate and the usable stock basis.

Choose the precise message

D Check your understanding

03

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which management summary is accurate?

- A** Two million dollars proves every order can be filled.
- B** A and B have 120 freely available units.
- C** B can be shipped because its units are physically present.
- D** Inventory value is high, but A is fully allocated and B fully blocked, leaving no available stock for the new orders.

2. Another item has 60 on hand, 35 allocated, and 10 blocked, with no overlap. What remains free?

- A** 25 units
- B** 45 units
- C** 60 units
- D** 15 units

3. Which claim about safety stock is defensible?

- A** It buffers specified uncertainty but does not guarantee that every item will always be available.
- B** It guarantees no stockouts under all conditions.
- C** It removes the need to measure lead time.
- D** It turns blocked stock into available stock.

4. Why distinguish fill rate from cycle service level?

- A** One concerns demand fulfilled under a definition; the other concerns stockout-free replenishment cycles.
- B** They always have identical numerators and denominators.
- C** Both are simply total inventory value.
- D** Neither requires a stated time or demand basis.

Answers and explanations: [page 80](#).

Plenty of inventory, none of these items available

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

replenishment lead time / safety stock / fill rate / stock-keeping unit / available to promise / quality hold / cycle service level / On-hand inventory / reallocation / allocated stock

- 01 **Omar:** We have two million dollars of inventory, yet new orders for A and B are unfilled. The total looks healthy, so I need a clear explanation.
- 02 **Elena:** Start at the ¹ _____ level. Value across many items does not establish that the specific products requested are available in the right state and location.
- 03 **Omar:** The record shows forty units of A physically here. Why can those not satisfy the new demand if the items are already in the building?
- 04 **Elena:** They are ² _____. All forty belong to existing orders under the current allocation; promising them again would create two commitments against the same quantity.
- 05 **Omar:** Then the physical count is correct but does not answer the availability question. We need to show the assignment beside the quantity, not hide it in another screen.
- 06 **Elena:** Exactly. ³ _____ and available inventory are different views. The same distinction matters for B, although its restriction comes from quality status rather than allocation.
- 07 **Omar:** B has eighty units on hand, but the status is blocked. I assume the new order does not give distribution authority to remove that status.
- 08 **Elena:** Correct. The ⁴ _____ remains in force. We cannot treat the eighty units as usable merely because they have value or are physically present.
- 09 **Omar:** So neither item has free stock for the new orders on the current facts. That does not mean the whole warehouse is empty or all our stock is obsolete.
- 10 **Elena:** Right. Our ⁵ _____ assessment must respect allocations and restrictions. We also have no confirmed replenishment date or available substitute in this briefing.

The conversation, continued

E Conversations / turns 11-20

03

Continue with the word bank on page 28.

- 11 **Omar:** Should we simply increase safety stock for both items? The repeated shortages suggest a problem, but I do not know whether a larger buffer is the appropriate response.
- 12 **Elena:** Review the ⁶ _____ assumptions rather than assume the answer. Demand variation, supply timing, and the reason for unavailable stock need item-specific examination.
- 13 **Omar:** Lead-time assumptions may also matter. A receipt that arrives later than expected could undermine the intended buffer, even if the original quantity calculation looked reasonable.
- 14 **Elena:** Yes. Use the actual ⁷ _____ definition, including when stock becomes usable. A shipment in transit is not the same as inventory available at the required location.
- 15 **Omar:** Our service dashboard says ninety-five percent, but the label does not say whether that means units supplied or orders supplied completely. That makes comparisons difficult.
- 16 **Elena:** Define the ⁸ _____ basis explicitly. Units, order lines, and complete orders can produce different percentages, and none should be silently substituted for the others.
- 17 **Omar:** Another report uses the percentage of replenishment cycles without a shortage. That sounds related but measures a different aspect of service.
- 18 **Elena:** That is ⁹ _____. It is not automatically equal to a demand-fill percentage, so a shared label of service level can conceal an important difference.
- 19 **Omar:** I will explain the two-million-dollar total alongside the item-specific restrictions. Any proposal to move A from existing orders will also need a clear priority decision.
- 20 **Elena:** Yes, any ¹⁰ _____ must be authorized and visible. For now, report A fully allocated, B fully blocked, and replenishment unconfirmed rather than imply the headline value resolves the shortages.

ANSWERS / EXPLANATIONS: PAGE 81

1. stock-keeping unit | 2. allocated stock | 3. On-hand inventory | 4. quality hold | 5. available to promise | 6. safety stock | 7. replenishment lead time | 8. fill rate | 9. cycle service level | 10. reallocation

Free quantity has a status basis

F Say it

An item has 100 units on hand. Sixty are allocated and 25 are blocked, with no overlap. No receipt is confirmed.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

unconfirmed / hundred / sixty / fifteen

Planner: "The physical on-hand quantity is one ¹ _____."

Manager: "The allocated quantity is ² _____."

Planner: "The remaining free quantity is ³ _____."

Manager: "Future replenishment remains ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 81

1. hundred | 2. sixty | 3. fifteen | 4. unconfirmed

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Shipments and the closing queue

A Read the situation

Reconcile a changing order queue, distinguish gross completions from net reduction, and avoid unsupported claims about order age or service.

Warehouse lead Pavel and customer-operations manager Zoe review a shift that began with 300 open orders. Fifty new orders arrived during the shift, and 220 orders were fully shipped and closed. There were no cancellations, reopenings, or partial closures. The data do not identify which shipped orders came from the opening queue. A report says 80 remain and the oldest orders are cleared. Pavel and Zoe must correct the balance and separate the known throughput from the unsupported age and service claims.

PEOPLE / Pavel: Warehouse lead | Zoe: Customer-operations manager

RECONCILE BEFORE CELEBRATING

A strong output number deserves recognition, but the closing queue must include new arrivals and other changes. State the arithmetic openly and distinguish volume from customer service. A team can ship many orders while particular older or priority orders still need attention.

Briefing checks

Circle one answer in each item. Use the briefing.

1. How many orders remain open?

A 130

B 80

C 220

D 350

2. What is the net reduction from the opening queue total?

A 50 orders

B 300 orders

C 170 orders

D 220 orders

3. What is unknown about the shipped orders?

A Whether 50 new orders arrived

B Whether cancellations occurred

C Which were from the opening queue

D Whether 220 were fully closed

Answers and explanations: page 82.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

order backlog

Orders still awaiting the defined fulfillment completion.

IN USE reconcile the order backlog

opening balance

The quantity at the start of the reporting period.

IN USE state the opening balance

closing balance

The quantity at the end after all relevant movements.

IN USE calculate the closing balance

order inflow

New orders entering the queue during a period.

IN USE track order inflow

gross completions

Total completed orders before accounting for new arrivals or other queue changes.

IN USE report gross completions

net reduction

The decrease in the total balance after additions and removals.

IN USE distinguish net reduction

fulfillment cycle

The steps from accepted order through the defined delivery or completion point.

IN USE map the fulfillment cycle

order release

Authorization to begin warehouse processing for an order.

IN USE schedule order release

wave picking

Grouping orders into planned picking batches or time windows.

IN USE organize wave picking

pick face

The location from which items are selected for orders.

IN USE replenish the pick face

pick accuracy

The correctness of selected items and quantities under the defined measure.

IN USE monitor pick accuracy

short pick

A pick that cannot supply the full requested quantity.

IN USE investigate a short pick

Precision check

300 opening orders plus 50 arrivals minus 220 completed orders equals 130 closing orders. Gross completions are 220; the net queue reduction is 170. Ignoring arrivals produces the incorrect balance of 80.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

packing verification

Checking packed items against order and shipping requirements.

IN USE complete packing verification

shipment confirmation

A recorded confirmation of the defined dispatch event.

IN USE verify shipment confirmation

partial fulfillment

Completion of only part of an order.

IN USE flag partial fulfillment

order aging

The time orders have remained open under the defined starting point.

IN USE review order aging

due-date priority

Ranking work by agreed completion or delivery deadlines.

IN USE assess due-date priority

cutoff time

The latest time for inclusion in a specified processing or dispatch cycle.

IN USE confirm the cutoff time

warehouse management system

Software managing warehouse inventory and operations, abbreviated WMS.

IN USE reconcile the warehouse management system

scan event

A recorded identification action at a process step.

IN USE trace scan events

exception queue

Work set aside for problems requiring resolution.

IN USE review the exception queue

dock capacity

The available capability for loading, unloading, and related dock work.

IN USE assess dock capacity

labor capacity

The work volume supported by available personnel under stated conditions.

IN USE review labor capacity

order cohort

A defined group of orders, such as those open at the start of a shift.

IN USE analyze an order cohort

Precision check

The data do not identify which order cohort shipped. You cannot conclude that all oldest orders were cleared or that 220 of the original 300 shipped. A completed shipment count also does not establish on-time delivery or pick accuracy.

Phrases you can actually use

C Notice the language / 1 of 2

DEFINE THE STARTING QUEUE

"We began the shift with 300 open orders."

STATE COMPLETION PRECISELY

"Two hundred twenty orders were fully shipped and closed."

SEPARATE GROSS AND NET

"We completed 220 orders, but the queue fell by 170."

KEEP THE COHORT OPEN

"We do not know which completed orders came from the opening queue."

INCLUDE ARRIVALS

"Fifty new orders entered during the shift."

RECONCILE THE ENDING QUEUE

"The closing balance is 130 open orders."

EXPLAIN THE CORRECTION

"Eighty omits the 50 new arrivals."

AVOID AN AGE CLAIM

"The total does not prove the oldest orders were cleared."

Shipped

Define the event; it does not necessarily mean delivered to the customer.

Closed

A system status that needs a clear completion rule.

Remaining

Requires additions as well as removals in the calculation.

Phrases you can actually use

C Notice the language / 2 of 2

REQUEST THE AGE VIEW

"Show the remaining orders by age and due date."

PRESERVE ORDER UNITS

"Do not mix orders, order lines, units, and cartons."

CHECK EXCEPTIONS

"Identify unresolved stock, documentation, or address issues separately."

KEEP THE PLAN CONDITIONAL

"The next-shift plan needs current capacity and priority information."

SEPARATE SERVICE MEASURES

"Shipped volume does not by itself establish on-time delivery."

CLARIFY PARTIALS

"This report counts only fully closed orders."

RECONCILE THE SYSTEM

"Match the completion events to the warehouse record."

CLOSE THE REPORT

"Present arrivals, completions, ending balance, and remaining exceptions together."

Oldest

Refers to order age, which a total alone cannot establish.

Throughput

Volume per stated period, not a synonym for service quality.

Cohort

A defined group whose members must be tracked to make group-level claims.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which closing report is correct?

- A $300 + 220 - 50 = 470$ open
- B 220 closed means the opening queue is fully cleared
- C $300 \text{ opening} + 50 \text{ new} - 220 \text{ closed} = 130$ open
- D $300 - 220 = 80$ open, ignoring new orders

2. Why is net reduction not 220?

- A Fifty new orders offset part of the 220 completions.
- B Closing an order always increases the queue.
- C The 220 shipments were all partial closures.
- D Cancellations account for the difference.

3. Which statement about the oldest orders is supported?

- A Every new order shipped before every old one.
- B Their status requires order-level age data; the total does not establish clearance.
- C All oldest orders must have shipped because output was high.
- D None of the opening orders shipped.

4. A later shift starts at 130, receives 40, and fully closes 90, with no other changes. What remains?

- A 90 open orders
- B 180 open orders
- C 80 open orders
- D 40 open orders

Answers and explanations: page 82.

Shipments and the closing queue

E Conversations / turns 1-10

04

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

net reduction / Shipment confirmation / order aging / exception queue / gross completions / partial fulfillment / warehouse management system / order cohort / order inflow / closing balance

- 01 **Zoe:** The report says eighty orders remain after we shipped two hundred twenty from an opening queue of three hundred. Did it include the new orders received during the shift?
- 02 **Pavel:** It missed the ¹ _____ of fifty. We fully shipped and closed two hundred twenty orders, but those arrivals also became part of the queue.
- 03 **Zoe:** Then the ending number is one hundred thirty. We need to correct the board before customer service uses eighty as the basis for its next update.
- 04 **Pavel:** Yes. The ² _____ is one hundred thirty: three hundred plus fifty minus two hundred twenty, with no cancellations, reopenings, or partial closures.
- 05 **Zoe:** Two hundred twenty remains the completed volume. Correcting the queue changes what that output means for the ending workload, not the team's shipment total.
- 06 **Pavel:** Exactly. Those are ³ _____. The completed quantity and the reduction in the open queue answer different questions, so both should be stated.
- 07 **Zoe:** The queue fell from three hundred to one hundred thirty, a reduction of one hundred seventy. That is the number we should use when discussing the change in open work.
- 08 **Pavel:** Correct. The ⁴ _____ is one hundred seventy. New arrivals offset part of the completed volume without making the shipment count incorrect.
- 09 **Zoe:** The draft also says the oldest orders are cleared. Do we know whether all two hundred twenty shipped orders belonged to the queue we started with?
- 10 **Pavel:** No. The ⁵ _____ information is missing from this summary. Some completed orders may have arrived during the shift, so we cannot assign all completions to the opening group.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 37.

- 11 **Zoe:** We need an order-level view before making promises about the oldest customers. A large shipment total could coexist with a few difficult orders remaining unresolved.
- 12 **Pavel:** Review ⁶ _____ and due dates. The aggregate count does not show whether the oldest, most urgent, or most complex orders are still waiting.
- 13 **Zoe:** The team should also identify exceptions rather than bury them in one remaining total. An address issue, a stock shortage, and a packing question may need different owners.
- 14 **Pavel:** Put those in the ⁷ _____ with their actual status. We can then distinguish work ready to process from work that first needs a specific problem resolved.
- 15 **Zoe:** Does the completed count tell us that everything shipped on time? Customer service may read high output as a service result even though the report has no promised dates.
- 16 **Pavel:** It does not. ⁸ _____ establishes the recorded dispatch event under our definition. On-time performance needs the relevant agreed dates and event basis, which this summary does not supply.
- 17 **Zoe:** We also need to keep orders separate from cartons and item units. Otherwise the next shift may compare a packaging count with this order queue.
- 18 **Pavel:** Agreed. This report excludes ⁹ _____ from its closure measure. Every one of the two hundred twenty counted completions represents a fully shipped and closed order, not merely one carton from it.
- 19 **Zoe:** I will show the opening queue, arrivals, full closures, and ending queue separately. The oldest-order claim will wait for the actual age data.
- 20 **Pavel:** Then reconcile those events with the ¹⁰ _____. The next-shift plan should use the corrected one-hundred-thirty balance and the real priority and exception information, not the mistaken eighty-order headline.

ANSWERS / EXPLANATIONS: PAGE 83

1. order inflow | 2. closing balance | 3. gross completions | 4. net reduction | 5. order cohort | 6. order aging | 7. exception queue | 8. Shipment confirmation | 9. partial fulfillment | 10. warehouse management system

Count every movement in the queue

F Say it

A shift starts with 100 open orders, receives 30, and fully closes 80. There are no other changes, and shipped-order ages are not supplied.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

thirty / eighty / fifty / unknown

Lead: "The closing balance is ¹ _____ orders."

Colleague: "Gross completions are ² _____."

Lead: "The new-order inflow is ³ _____."

Colleague: "The oldest-order status is still ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 83

1. fifty | 2. eighty | 3. thirty | 4. unknown

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Wednesday is still an estimate

A Read the situation

Give a useful delay update while separating a carrier estimate, confirmed transport events, appointment timing, and an authorized contingency.

05

Logistics coordinator Nikhil and customer planner Dana review a fictional shipment. The carrier currently estimates warehouse arrival on Wednesday, but departure has not been confirmed. Dana needs the goods for a Wednesday 14:00 production start and asks for a guarantee. An expedited route is only being assessed; its capacity, extra cost, and arrival timing are unconfirmed. Nikhil has arranged a carrier status update for Tuesday at 16:00. He must state what is known without treating that update or the alternative route as a delivery promise.

PEOPLE / Nikhil: Logistics coordinator | Dana: Customer planner

BE USEFUL WITHOUT FALSE PRECISION

A customer asking for certainty often needs a planning decision. State the latest estimate, the missing milestone, the consequence for the customer, and the next update. Avoid filling the gap with a precise arrival time that no confirmed movement or service commitment supports.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the current arrival status?

A Confirmed warehouse delivery

B A completed departure proving every later milestone

C Estimated Wednesday warehouse arrival, with departure unconfirmed

D Guaranteed arrival before Wednesday 14:00

2. What does Tuesday 16:00 represent?

A Guaranteed departure

B Guaranteed warehouse arrival

C Approved expedited transport

D A carrier status update

3. What is known about the expedited route?

A It is booked and guaranteed free.

B It has already delivered the goods.

C It automatically meets Dana's production time.

D It is being assessed; capacity, cost, and timing are unconfirmed.

Answers and explanations: [page 84](#).

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

estimated time of arrival

A forecast arrival time for a specified destination, abbreviated ETA.

IN USE qualify the estimated time of arrival

estimated time of departure

A forecast departure time from a specified location, abbreviated ETD.

IN USE update the estimated time of departure

actual departure

The confirmed time the shipment left the stated location.

IN USE confirm actual departure

actual arrival

The confirmed time the shipment reached the stated point.

IN USE record actual arrival

carrier

The organization transporting goods under the relevant arrangement.

IN USE request a carrier update

freight forwarder

A party arranging transport and related logistics services.

IN USE coordinate with the freight forwarder

consignor

The party sending goods under the transport record.

IN USE identify the consignor

consignee

The party named to receive goods under the transport record.

IN USE confirm the consignee

bill of lading

A transport document evidencing receipt and carriage terms, with functions varying by type.

IN USE review the bill of lading

air waybill

A nonnegotiable document used for air-cargo carriage.

IN USE verify the air waybill

transport milestone

A defined event used to track shipment progress.

IN USE confirm the transport milestone

tracking exception

A reported departure from the expected shipment process.

IN USE investigate a tracking exception

Precision check

An ETA is an estimate for a stated event and place. It is not proof of departure or a guarantee that goods will be usable for a production start. A warehouse appointment and a confirmed arrival are also different events.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

transshipment

Transfer of goods between transport services during a journey.

IN USE assess transshipment risk

routing

The planned path and transport connections for a shipment.

IN USE review the routing

last mile

The final transport leg to the delivery destination.

IN USE coordinate the last mile

delivery appointment

An agreed receiving time slot at the destination.

IN USE confirm the delivery appointment

proof of delivery

Evidence documenting the defined delivery event.

IN USE obtain proof of delivery

expedited freight

Transport arranged to reduce delivery time under specified conditions.

IN USE assess expedited freight

premium freight cost

Additional transport cost for a higher-cost or urgent service.

IN USE authorize premium freight cost

capacity booking

A reservation of transport space under the applicable terms.

IN USE confirm the capacity booking

demurrage

A charge for specified excess terminal or port use under applicable terms.

IN USE review demurrage terms

detention

A charge for specified extended equipment use under applicable terms.

IN USE check detention exposure

Incoterms rule

An ICC trade rule allocating specified delivery obligations, costs, and risks.

IN USE identify the agreed Incoterms rule

named place

The specific location stated with the relevant trade or delivery term.

IN USE specify the named place

Precision check

An expedited option needs capacity, timing, cost, and authorization before it becomes a plan. Incoterms rules allocate specified obligations, costs, and risks; they do not prove physical movement or themselves guarantee an arrival time. Read the actual contract and named place.

Phrases you can actually use

C Notice the language / 1 of 2

STATE THE LATEST ESTIMATE

"The carrier currently estimates warehouse arrival on Wednesday."

AVOID AN UNSUPPORTED GUARANTEE

"I cannot confirm arrival before your 14:00 production start from the available information."

CLARIFY THE DESTINATION

"This estimate refers to your warehouse, not merely the destination terminal."

SEPARATE APPOINTMENT

"A receiving slot is not proof that the vehicle will arrive in that slot."

NAME THE MISSING EVENT

"Departure has not yet been confirmed."

ACKNOWLEDGE THE CONSEQUENCE

"I understand that the uncertainty affects your production plan."

REQUEST A MILESTONE

"Please provide the confirmed departure event and its source."

DESCRIBE THE ALTERNATIVE

"We are assessing expedited routing, not reporting a completed booking."

Estimated

A forecast based on current information, not a confirmed event.

Actual

A recorded occurrence that needs a clear source and location.

Guaranteed

Requires an actual applicable commitment; do not infer it from an ETA.

Phrases you can actually use

C Notice the language / 2 of 2

KEEP COST VISIBLE

"Any premium cost needs the appropriate authorization."

SET THE COMMUNICATION

"The next carrier status update is Tuesday at 16:00."

DO NOT RELABEL

"A forecast departure is not actual departure."

REPORT CHANGES CLEARLY

"State which milestone, estimate, or condition has changed."

QUALIFY CAPACITY

"Space must be confirmed before we rely on the alternative."

PRESERVE UPDATE DISCIPLINE

"I will update you then even if the arrival remains uncertain."

SEPARATE TRADE TERMS

"The agreed trade rule does not itself guarantee Wednesday arrival."

CLOSE WITH THE PLANNING BASIS

"Use Wednesday as the current estimate, with the departure dependency explicit."

Booked

Specify whether capacity is reserved or a request merely submitted.

Arrived

Name the terminal, warehouse, or other location.

Delivered

Identify the contractual or operational event rather than assume every arrival is delivery.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which customer update is accurate?

- A** Warehouse arrival is estimated Wednesday; departure remains unconfirmed; next update Tuesday 16:00.
- B** Delivery is guaranteed Wednesday before 14:00.
- C** Goods have departed because an ETA exists.
- D** The expedited route is confirmed at no additional cost.

2. A system shows ETD Tuesday 10:00. What does that establish?

- A** Completed warehouse delivery
- B** Guaranteed arrival for production
- C** A forecast departure, not proof the shipment left
- D** Actual departure at 10:00

3. What is needed before relying on the expedited alternative?

- A** A customer request alone
- B** An Incoterms abbreviation without a booking
- C** Confirmed capacity, supported timing, cost, and the required authorization
- D** Only a route name in a message

4. Which statement about an agreed Incoterms rule is accurate?

- A** It allocates specified responsibilities, costs, and risks but does not itself prove arrival or guarantee the ETA.
- B** It always guarantees the next Wednesday delivery.
- C** It automatically replaces a carrier tracking event.
- D** It makes the named place irrelevant.

Answers and explanations: [page 84](#).

Wednesday is still an estimate

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

05

WORD + PHRASE BANK

last mile / capacity booking / estimated time of arrival / delivery appointment / expedited freight / premium freight cost / transport milestone / actual departure / Incoterms rule / proof of delivery

- 01 **Dana:** Our production starts Wednesday at fourteen hundred. The carrier estimate says Wednesday, so can you guarantee that the shipment will reach our warehouse before then?
- 02 **Nikhil:** The current ¹ _____ is Wednesday, but no time before fourteen hundred is confirmed. Departure itself has not been confirmed, which remains an important dependency.
- 03 **Dana:** I need that distinction in writing for the production team. They may otherwise read the day on the tracking page as a firm commitment to our required time.
- 04 **Nikhil:** I will state that ² _____ is still unconfirmed. A planned departure or an arrival estimate does not establish that the goods have already begun that leg.
- 05 **Dana:** Does the Wednesday estimate refer to our warehouse or just the destination terminal? That would make a significant difference to whether the goods can support production.
- 06 **Nikhil:** It refers to the warehouse, but the ³ _____ remains part of the plan to verify. Arrival at an earlier terminal would not by itself complete that final movement.
- 07 **Dana:** We have a receiving slot available. I want to avoid treating that slot as confirmation that the carrier will reach us on schedule.
- 08 **Nikhil:** Correct. A ⁴ _____ describes the receiving arrangement. It does not turn an uncertain transport estimate into a confirmed arrival event.
- 09 **Dana:** The customer-service note mentions a faster alternative. Is that already arranged, or are you still checking whether it could actually improve this shipment's timing?
- 10 **Nikhil:** We are assessing ⁵ _____. Capacity, timing, and cost remain unconfirmed, so it would be misleading to describe the option as a booked recovery plan.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 46.

- 11 **Dana:** Please show any extra cost before someone commits us to it. A faster route might help, but we need the actual proposal and the appropriate approval.
- 12 **Nikhil:** Any ⁶ _____ will be explicit. We should not assume that urgency supplies financial authorization or that a quoted service is already available for this shipment.
- 13 **Dana:** Capacity matters too. A route that looks faster on paper is not useful if there is no confirmed space or the connection cannot be made.
- 14 **Nikhil:** Exactly. We need the ⁷ _____ and supported timing. I will separate a booking request from an actual confirmation in the update.
- 15 **Dana:** The order also names a trade term. Someone suggested that this term guarantees arrival on the estimated day, but I do not think those are the same issue.
- 16 **Nikhil:** They are not. An ⁸ _____ allocates specified obligations, costs, and risks. It does not itself prove shipment movement or guarantee that the current estimate will be met.
- 17 **Dana:** What can you promise about the next communication? We need a reliable checkpoint even if the transport timing remains uncertain.
- 18 **Nikhil:** The carrier update is Tuesday at sixteen hundred. I will request the next confirmed ⁹ _____ and tell you what changed, including if departure or the alternative still remains unresolved.
- 19 **Dana:** That gives us an honest planning basis. We will treat Wednesday as the current estimate, keep the production dependency visible, and wait for the confirmed movement update.
- 20 **Nikhil:** Once delivery occurs, we can obtain ¹⁰ _____. Until then, I will distinguish estimates, bookings, confirmed events, and the next communication rather than combine them into a guarantee.

ANSWERS / EXPLANATIONS: PAGE 85

1. estimated time of arrival | 2. actual departure | 3. last mile | 4. delivery appointment | 5. expedited freight | 6. premium freight cost | 7. capacity booking | 8. Incoterms rule | 9. transport milestone | 10. proof of delivery

A scheduled pickup is not a completed pickup

F Say it

Pickup is scheduled for Monday. Arrival is estimated Thursday. No collection event is confirmed, and the next update is Monday at 15:00.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

update / estimated / scheduled / confirmed

Coordinator: "Monday's pickup is ¹ _____."

Customer: "Thursday's arrival remains ² _____."

Coordinator: "Actual collection is not yet ³ _____."

Customer: "Fifteen hundred is the next status ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 85

1. scheduled | 2. estimated | 3. confirmed | 4. update

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

The invoice and packing list describe different goods

A Read the situation

Raise a document discrepancy, request verified product facts, and arrange controlled correction without guessing classification or changing facts to fit a document.

06

Trade coordinator Sofia and exporter contact Chen review a fictional US-bound shipment file. The invoice describes stainless-steel bolts; the packing list describes aluminum brackets. Both show 500 pieces, but matching counts do not establish which description is correct. The broker requests clarification before relying on the file. No verified product specification, classification, or origin determination is supplied. Sofia and Chen must obtain the underlying product facts and corrected authorized documents without simply copying one unverified description over the other.

PEOPLE / Sofia: Trade coordinator | Chen: Exporter documentation contact

CONSISTENCY IS NECESSARY BUT NOT SUFFICIENT

Two documents can match and still be wrong. State the discrepancy neutrally, then seek the facts that identify the goods. The goal is an accurate, traceable file, not just matching words that make the broker stop asking questions.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the discrepancy?

- A** The invoice describes steel bolts while the packing list describes aluminum brackets.
- B** The piece counts differ.
- C** A classification has been confirmed.
- D** Both descriptions have been verified correct for identical goods.

2. What do matching counts establish?

- A** Agreement on the stated count, not verification of the product description
- B** Proof both products are identical
- C** Automatic customs release
- D** A correct tariff classification

3. What is missing before an accurate correction?

- A** Verified product facts and the appropriate document correction process
- B** A preferred lower duty rate to copy
- C** Permission to guess the material
- D** Proof that the broker can invent the goods' identity

Answers and explanations: page 86.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

commercial invoice

A transaction document describing goods, value, parties, and relevant terms.

IN USE verify the commercial invoice

packing list

A document describing how goods and quantities are packed.

IN USE reconcile the packing list

merchandise description

The factual identification and characteristics of the goods.

IN USE provide a precise merchandise description

product specification

Technical information defining a product's characteristics.

IN USE obtain the product specification

material composition

The substances or materials making up a product.

IN USE confirm material composition

end use

The purpose for which the product is intended or used.

IN USE clarify the end use

tariff classification

Assignment of goods to an applicable tariff category under the governing rules.

IN USE obtain a classification review

Harmonized System

The international goods-classification framework commonly abbreviated HS.

IN USE distinguish Harmonized System codes

HTSUS

The Harmonized Tariff Schedule of the United States.

IN USE consult the applicable HTSUS provision

country of origin

The country determined as the goods' origin under applicable rules.

IN USE verify country of origin

country of shipment

The country from which goods are dispatched.

IN USE distinguish country of shipment

customs value

The value determined under the applicable customs valuation rules.

IN USE review customs value

06

Precision check

Five hundred pieces on both documents confirms only agreement in the stated count. Bolts and brackets, and stainless steel and aluminum, are materially different descriptions. Neither document is established as correct by the supplied facts.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

declared quantity

The quantity stated in the relevant customs or shipment record.

IN USE verify the declared quantity

unit of measure

The basis used to count or measure goods.

IN USE confirm the unit of measure

net weight

The weight of goods excluding the specified packaging.

IN USE state net weight

gross weight

The weight including the specified goods and packaging.

IN USE distinguish gross weight

importer of record

The party responsible for the import entry under applicable law.

IN USE identify the importer of record

customs broker

A qualified intermediary conducting customs business under the relevant authorization.

IN USE coordinate with the customs broker

entry documentation

The records supporting the import entry process.

IN USE review entry documentation

supporting evidence

Records substantiating the information in a declaration or document.

IN USE retain supporting evidence

document discrepancy

A conflict between relevant records or stated facts.

IN USE resolve a document discrepancy

corrected invoice

An authorized revised invoice addressing an identified error.

IN USE request a corrected invoice

revision history

A record of what changed, when, and why.

IN USE preserve revision history

customs release

The customs decision permitting goods to proceed under applicable conditions.

IN USE confirm customs release

06

Precision check

Do not choose a tariff category, origin, or description to obtain a preferred duty result. Accurate product facts must support the relevant qualified review. Shipment country is not automatically origin, and a corrected file is not itself proof of customs release.

Phrases you can actually use

C Notice the language / 1 of 2

NAME THE DISCREPANCY

"The invoice says stainless-steel bolts; the packing list says aluminum brackets."

AVOID CHOOSING BY CONVENIENCE

"We cannot assume either description is correct without supporting facts."

CLARIFY COMPOSITION

"Confirm the actual material rather than copying an unverified label."

PRESERVE DOCUMENT AUTHORITY

"Ask the responsible issuer to correct the affected document."

KEEP THE COUNT SEPARATE

"Both list 500 pieces, but that does not resolve the product identity."

REQUEST THE SPECIFICATION

"Please provide the verified product specification and relevant order details."

CHECK THE PACKING BASIS

"Reconcile the item identifiers and package contents."

KEEP HISTORY VISIBLE

"Retain the original and the reason for the correction."

06

Described as

Attributes wording to a document without endorsing its accuracy.

Verified

Requires a source tied to the actual goods.

Matching

Means consistent with another record, not necessarily factually correct.

Phrases you can actually use

C Notice the language / 2 of 2

SEPARATE CLASSIFICATION

"The product description does not by itself complete a tariff review."

DISTINGUISH ORIGIN

"Country of shipment does not automatically establish country of origin."

DO NOT INVENT A CODE

"Classification needs the applicable facts and qualified review."

CHECK AGREEMENT AND TRUTH

"The corrected documents must match the verified goods, not merely each other."

AVOID A DUTY-DRIVEN DESCRIPTION

"The wording must follow the goods, not a preferred duty outcome."

COORDINATE REVIEW

"Provide the verified facts to the broker and responsible import team."

LIMIT THE STATUS

"The discrepancy is being resolved; customs release is not confirmed."

CLOSE THE HANDOFF

"Send the authorized corrections with their supporting references."

06

Origin

A rules-based determination, not simply the dispatch location.

Corrected

Indicates a documented change; it does not imply customs has accepted the entry.

Released

An actual customs status, separate from a completed internal file.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which message to the exporter is most appropriate?

- A** Please verify the actual product and material, then arrange authorized corrections supported by those facts.
- B** Copy the invoice onto the packing list because invoices are always correct.
- C** Use whichever description produces lower duty.
- D** Keep both descriptions because the counts match.

2. What can be concluded from both documents stating 500 pieces?

- A** Their counts match, but the goods' identity remains unresolved.
- B** The material is definitely stainless steel.
- C** The product is definitely a bracket.
- D** The tariff classification is complete.

3. Which origin statement is accurate?

- A** The broker may choose any country with lower duty.
- B** Shipment country alone does not determine origin; apply the relevant rules to verified facts.
- C** Origin always equals the loading port's country.
- D** An invoice correction automatically changes origin.

4. Which completion statement is supported after an authorized correction but before an agency decision?

- A** Customs has released the shipment automatically.
- B** No further review can ever be required.
- C** The corrected invoice proves all classifications worldwide.
- D** The file has been corrected; customs release still needs confirmation.

Answers and explanations: page 86.

The invoice and packing list describe different goods

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

06

WORD + PHRASE BANK

material composition / revision history / Customs release / customs broker / merchandise description / Tariff classification / Country of origin / document discrepancy / corrected invoice / product specification

- 01 **Sofia:** The invoice calls these goods stainless-steel bolts, while the packing list says aluminum brackets. The broker has asked us to clarify the file before relying on it.
- 02 **Chen:** That is a ¹ _____. Both documents show five hundred pieces, but the matching count does not tell us which product description is accurate.
- 03 **Sofia:** Exactly. We should not pick the invoice simply because it is the commercial document, or change the packing list to match it without checking the actual goods.
- 04 **Chen:** I will obtain the ² _____ and reconcile the order and packing records. We need facts linked to this shipment, not a similar product description from another file.
- 05 **Sofia:** Material is one of the conflicts, not just the item name. Steel bolts and aluminum brackets are not two harmless ways of saying the same thing.
- 06 **Chen:** We must confirm ³ _____ from the relevant source. I will not infer it from the document we happen to prefer or from the duty result someone expects.
- 07 **Sofia:** The broker also needs a description that identifies the goods meaningfully. Making both documents say parts would remove the visible conflict while making the file less informative.
- 08 **Chen:** Agreed. The ⁴ _____ must follow the verified goods. A generic replacement would not resolve the underlying uncertainty about product identity and characteristics.
- 09 **Sofia:** Once the facts are established, the responsible issuer should correct whichever document is wrong. We should not silently overwrite an exporter document ourselves.
- 10 **Chen:** I will arrange a ⁵ _____ if the invoice needs correction, and the corresponding packing-list correction if needed. The verified facts determine which records must change.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 55.

- 11 **Sofia:** Please retain the original records and the explanation. The next reviewer needs to understand why the descriptions changed instead of seeing an unexplained replacement.
- 12 **Chen:** We will preserve the ⁶ _____ and supporting references. Consistent documents are useful only if their consistency reflects the actual shipment rather than a convenient edit.
- 13 **Sofia:** We also should not invent a tariff code from this short conversation. We do not yet have the verified characteristics needed for the applicable review.
- 14 **Chen:** Correct. ⁷ _____ must follow the relevant facts and rules. A desired duty rate is not a reason to change the product description.
- 15 **Sofia:** The shipment country is listed, but that does not necessarily establish where the goods originate. We should keep those fields conceptually separate.
- 16 **Chen:** Yes. ⁸ _____ needs the applicable determination. We should not copy the dispatch country into the origin field merely because it is the only country readily visible.
- 17 **Sofia:** Once the verified information and authorized corrections are ready, I will send them to the broker and responsible import team with the supporting references.
- 18 **Chen:** That gives the ⁹ _____ a factual basis for the required review. We should answer the clarification request directly rather than imply that matching counts settle the matter.
- 19 **Sofia:** The status update will say the document discrepancy is being resolved. Even a corrected file would not justify telling the warehouse the goods are already released.
- 20 **Chen:** Exactly. ¹⁰ _____ must be confirmed as its own event. Our responsibility here is an accurate, authorized, traceable file, without inventing a classification or a clearance outcome.

06

ANSWERS / EXPLANATIONS: PAGE 87

1. document discrepancy | 2. product specification | 3. material composition | 4. merchandise description | 5. corrected invoice | 6. revision history | 7. Tariff classification | 8. Country of origin | 9. customs broker | 10. Customs release

Match the goods, not just the words

F Say it

An invoice says plastic housings and the packing list says steel housings. Both list 40 pieces. Actual material and customs release are unconfirmed.

Complete the four gaps. Use each bank entry once.

06

WORD + PHRASE BANK

release / correction / material / facts

Coordinator: "The counts match, but the ¹ _____ differs."

Exporter: "We need verified product ² _____."

Coordinator: "The responsible issuer must authorize any ³ _____."

Exporter: "A corrected file does not prove customs ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 87

1. material | 2. facts | 3. correction | 4. release

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

A second supplier is not yet a ready backup

A Read the situation

Compare supply options while separating quoted lead time, reserved capacity, qualification, and shared disruption exposure.

Risk planner Ren and sourcing manager Julia compare supplier A, with a quoted two-week lead time, and supplier B, with a quoted four-week lead time. B reports spare capacity, but none is reserved and qualification is incomplete. Both may depend on the same coating site; this is unverified. Current usable stock equals three weeks of the stated demand rate. The team must assess continuity without declaring B immediately usable or treating two supplier names as proof of independent supply.

PEOPLE / Ren: Risk planner | Julia: Sourcing manager

07

TURN BACKUP INTO A LIST OF CONDITIONS

A reassuring supplier name is not an operational continuity plan. Ask what must be qualified, reserved, transferred, or verified before the alternative can supply. This makes the resilience discussion concrete without assuming that the faster supplier is always better or the second source removes all common risks.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What is the status of B's capacity?

A A confirmed allocation already producing the order

C Proof qualification is complete

B A guarantee of immediate usable supply

D Reported spare capacity, not reserved for this buyer

2. What does the potential shared coating site imply?

A Proven fully independent supply routes

C A guarantee that lead times are identical

B Proof both suppliers have already failed

D A possible common dependency that needs verification

3. What stock coverage is supplied?

A An indefinite supply guarantee

C Three weeks at the stated demand rate

B Two weeks of reserved B capacity

D Four weeks under every demand pattern

[Answers and explanations: page 88.](#)

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

single sourcing

Choosing to obtain a requirement from one supplier despite alternatives.

IN USE review single-sourcing exposure

sole sourcing

Depending on the only available source for a requirement.

IN USE identify sole-source constraints

dual sourcing

Using two sources for a defined supply requirement.

IN USE assess a dual-sourcing strategy

source qualification

Evaluation and approval of a source for a specified requirement.

IN USE complete source qualification

backup capacity

Potential supply capability intended for contingency use.

IN USE verify backup capacity

capacity reservation

A defined commitment setting aside supply capability for a buyer.

IN USE negotiate a capacity reservation

quoted lead time

A supplier's stated lead-time estimate or offer under specified conditions.

IN USE verify the quoted lead time

activation lead time

Time needed to make a contingency operational after a trigger.

IN USE estimate activation lead time

switching cost

The cost of moving a requirement to another source or arrangement.

IN USE assess switching cost

tooling transfer

Moving required production tools to another site or source.

IN USE plan tooling transfer

subtier supplier

A supplier further upstream than the directly contracted supplier.

IN USE map subtier suppliers

common dependency

A resource or facility on which multiple supply options rely.

IN USE identify a common dependency

Precision check

B has a quoted lead time and reported capacity, not a completed qualification or a reserved production slot. A four-week quote is not necessarily the full time needed to activate the backup. The possible shared coating site remains an open fact to verify.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

correlated disruption

A disruption capable of affecting multiple sources together.

IN USE assess correlated disruption

geographic concentration

Supply dependence clustered in the same area.

IN USE reduce geographic concentration

business continuity plan

A plan for maintaining or restoring prioritized operations during disruption.

IN USE test the business continuity plan

contingency trigger

A defined condition for activating an alternative action.

IN USE set a contingency trigger

time to recover

The period needed to restore the specified supply or operational capability.

IN USE estimate time to recover

time to survive

The period operations can continue under a defined disruption scenario.

IN USE assess time to survive

recovery objective

A target for restoring a specified capability.

IN USE define the recovery objective

buffer coverage

The demand period supported by a stated usable buffer.

IN USE calculate buffer coverage

resilience

The ability to prepare for, respond to, and recover from disruption.

IN USE strengthen supply resilience

risk register

A record of identified risks, assessments, owners, and actions.

IN USE update the risk register

scenario test

An examination of a plan under specified hypothetical conditions.

IN USE conduct a scenario test

continuity owner

The person accountable for a defined continuity action or plan.

IN USE assign a continuity owner

Precision check

Under a simplified scenario of immediate supply loss, unchanged demand, no receipts, and usable backup only after four weeks, three weeks of stock leaves a one-week gap. This illustration is conditional, not a prediction of actual qualification or recovery time.

Phrases you can actually use

C Notice the language / 1 of 2

COMPARE LIKE WITH LIKE

"A quotes two weeks; B quotes four, under their stated conditions."

QUALIFY THE BACKUP

"B is not yet a fully ready alternative."

RESERVE THE RESOURCE

"Reported spare capacity is not capacity reserved for us."

KEEP THE FACT OPEN

"The common-site dependency is possible, not yet confirmed."

SEPARATE SPEED AND RESILIENCE

"A shorter quoted lead time does not answer every continuity question."

CHECK APPROVAL

"Source qualification remains incomplete."

LOOK UPSTREAM

"Verify whether both suppliers use the same coating site."

AVOID FALSE INDEPENDENCE

"Two supplier names do not prove independent disruption exposure."

07

Backup

A role in a plan, not proof of readiness.

Spare

May be available generally without being reserved for this order.

Qualified

Refers to an approved purpose and scope, not every product.

Phrases you can actually use

C Notice the language / 2 of 2

NAME THE COVERAGE BASIS

"Current usable stock covers three weeks at the stated demand rate."

TEST A BOUNDED SCENARIO

"State demand, receipts, and activation assumptions before calculating a gap."

DEFINE THE TRIGGER

"Agree which event would activate the contingency review."

KEEP ACTION CONDITIONAL

"Do not promise backup supply before the required conditions are met."

INCLUDE ACTIVATION

"Tooling, qualification, and allocation may affect when the backup becomes usable."

SEPARATE TARGET AND ESTIMATE

"A recovery objective is not proof that recovery can occur that quickly."

ASSIGN THE OWNER

"Identify who will verify capacity and qualification status."

CLOSE THE RISK REVIEW

"Record dependencies, evidence gaps, owners, and next checkpoints."

Independent

Requires attention to shared upstream resources and locations.

Coverage

Depends on usable stock and the specified demand rate.

Objective

A target to work toward, distinct from an evidenced recovery estimate.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which comparison is most useful?

- A** Compare lead-time basis, qualification, reserved capacity, activation needs, and shared dependencies.
- B** Select A solely because two is less than four.
- C** Declare B ready because it reports spare capacity.
- D** Treat two supplier names as proof of no common risk.

07

2. In the stated simplified scenario, stock covers three weeks and usable backup begins after four. What is the gap?

- A** No gap under any conditions
- B** Four weeks of guaranteed excess stock
- C** One week
- D** Seven weeks

3. Why investigate the coating site?

- A** Shared sites always mean both suppliers are already late.
- B** The same coating site proves every component is identical.
- C** It eliminates the need to qualify B.
- D** A common upstream dependency could disrupt both sources together.

4. What distinguishes a recovery objective from time-to-recover evidence?

- A** The objective is a target; the estimate needs support about actual restoration capability.
- B** A target automatically proves the capability exists.
- C** Both terms mean reserved inventory.
- D** A written objective removes qualification needs.

Answers and explanations: [page 88](#).

A second supplier is not yet a ready backup

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

risk register / activation lead time / common dependency / source qualification / buffer coverage / Correlated disruption / capacity reservation / recovery objective / contingency trigger / scenario test

07

- 01 **Julia:** Supplier A quotes two weeks and supplier B quotes four. B says it has spare capacity, so the team wants to list it as our ready backup.
- 02 **Ren:** That overstates ¹ _____. B is not yet fully qualified for this requirement, and the capacity report does not establish an allocation to us.
- 03 **Julia:** We should separate those conditions. The supplier may have room in its general schedule without having committed a production slot for our contingency demand.
- 04 **Ren:** Exactly. A ² _____ needs its own confirmation and terms. Reported availability can change before we need it, so it cannot be treated as a standing commitment.
- 05 **Julia:** The four-week number also may assume everything is ready to begin. If qualification or tooling work is needed first, it may not describe the whole switching period.
- 06 **Ren:** Include the ³ _____. The time from deciding to switch to receiving usable supply may include steps that are not covered by the supplier's quoted lead time.
- 07 **Julia:** We have another unresolved question: both suppliers may use the same coating site. I do not want to repeat that as fact until it is verified.
- 08 **Ren:** Mark it as a possible ⁴ _____. If confirmed, a disruption there could affect both suppliers despite their separate names and customer contacts.
- 09 **Julia:** That would change the resilience argument. Two sources could still be useful, but we should not describe their risks as independent without examining the upstream connection.
- 10 **Ren:** Correct. ⁵ _____ is the concern. We need to understand the shared exposure rather than count suppliers and assume each protects us from every failure of the other.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 64.

- 11 **Julia:** Current usable inventory covers three weeks at the stated demand rate. How should that be compared with the four-week quote without creating a false recovery promise?
- 12 **Ren:** Use a clearly bounded ⁶ _____. Assume immediate supply loss, unchanged demand, no incoming receipts, and usable backup after four weeks only for that calculation.
- 13 **Julia:** Under those assumptions, the stock ends after three weeks and the backup starts after four. There is a one-week gap, not complete coverage.
- 14 **Ren:** Yes. The ⁷ _____ is shorter than the assumed wait. But actual activation could differ, especially while qualification and reservation remain incomplete.
- 15 **Julia:** We should also distinguish our desired recovery time from what the suppliers can actually support. A target in a presentation does not establish operational capability.
- 16 **Ren:** Exactly. A ⁸ _____ expresses what we aim to restore and when. It should not be reported as an evidenced recovery estimate merely because management agreed it was desirable.
- 17 **Julia:** The continuity plan needs a decision point too. Otherwise we may know a backup exists on paper but not know when to begin the required review.
- 18 **Ren:** Define a ⁹ _____ and the responsible owner. The trigger should lead to the agreed process, not authorize an unqualified source or an unsupported shipment promise.
- 19 **Julia:** I will revise B from ready backup to candidate pending qualification, reservation, and dependency checks. The comparison will retain A's shorter quote without treating it as the only relevant factor.
- 20 **Ren:** Good. Update the ¹⁰ _____ with those conditions and checkpoints. That gives us a practical continuity discussion instead of reassurance based only on a second supplier name.

07

ANSWERS / EXPLANATIONS: PAGE 89

1. source qualification | 2. capacity reservation | 3. activation lead time | 4. common dependency | 5. Correlated disruption | 6. scenario test | 7. buffer coverage | 8. recovery objective | 9. contingency trigger | 10. risk register

A buffer and a delayed backup

F Say it

Usable stock covers two weeks at unchanged demand. In a simplified scenario with no incoming receipts, usable backup begins after five weeks. Capacity is not reserved.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

reservation / unchanged / three / guarantee

Planner: "The assumed supply gap is ¹ _____ weeks."

Buyer: "The scenario assumes demand stays ² _____."

Planner: "Backup capacity still lacks a ³ _____."

Buyer: "The calculated gap is conditional, not a ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 89

1. three | 2. unchanged | 3. reservation | 4. guarantee

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

Ten minutes left, one assumption unresolved

A Read the situation

Summarize a cross-functional planning disagreement as an explicit decision with quantified scenarios, constraints, and recorded ownership.

Planning lead Amara and executive chair Victor have ten minutes left in a fictional sales and operations planning meeting. Operations proposes 10,500 units next month; sales proposes 12,000 by adding an unconfirmed 1,500-unit promotion increment. Regular capacity is 11,000. No extra-capacity authorization or shared promotion assumption exists. A note says plan agreed despite the unresolved difference. Amara must clarify the decision request and separate the base case, upside case, capacity gap, and actual decision status.

PEOPLE / Amara: Planning lead | Victor: Executive meeting chair

08

END WITH A DECISION, NOT AN ATMOSPHERE

A constructive meeting can still finish without agreement. Record the actual choice, limits, unresolved conditions, owner, and review point. Do not substitute a positive tone or silence for a decision that affects inventory, capacity, and customer commitments.

Briefing checks

Circle one answer in each item. Use the briefing.

1. What explains the numerical difference between the proposals?

- | | |
|---|--|
| A A 1,500-unit unconfirmed promotion increment | B A confirmed customer order for 12,000 units |
| C A reduction in regular capacity to zero | D A completed decision to add 2,000 units of capacity |

2. How much does the 12,000-unit scenario exceed regular capacity?

- | | |
|--------------------|----------------------|
| A 500 units | B 1,500 units |
| C No amount | D 1,000 units |

3. What decision status is supported at the start?

- | | |
|--|--|
| A The 12,000-unit plan is formally authorized. | B Extra capacity is already approved. |
| C The promotion assumption is shared and confirmed. | D The plan is not yet agreed on the supplied facts. |

Answers and explanations: page 90.

The vocabulary that does the work

B Find the words / 1 of 2

Read the definitions and say the common word combinations aloud.

sales and operations planning

A cross-functional process aligning demand, supply, and business plans, abbreviated S&OP.

IN USE conduct sales and operations planning

demand review

Assessment of the demand outlook and its assumptions.

IN USE prepare the demand review

supply review

Assessment of resources and constraints against proposed demand.

IN USE complete the supply review

pre-S&OP

The reconciliation stage preparing issues and options for executive review.

IN USE resolve issues in pre-S&OP

executive S&OP

The leadership review that makes or confirms the required planning decisions.

IN USE chair executive S&OP

aggregate plan

A plan at a combined product-family or other summary level.

IN USE review the aggregate plan

base case

The reference scenario used for comparison.

IN USE establish the base case

upside case

A scenario with higher demand or a more favorable outcome under stated assumptions.

IN USE quantify the upside case

downside case

A scenario with lower demand or another adverse outcome under stated assumptions.

IN USE assess the downside case

assumption register

A record of the premises, owners, and status underlying a plan.

IN USE maintain the assumption register

unconstrained demand

The estimated demand before limiting it to available supply.

IN USE state unconstrained demand

constrained plan

A plan adjusted to the available or authorized resources.

IN USE develop a constrained plan

Precision check

The sales proposal is 10,500 plus 1,500, or 12,000 units. Regular capacity is 11,000, leaving a 1,000-unit capacity gap for that upside case. The base proposal is 500 below regular capacity. Neither arithmetic result approves a plan.

The vocabulary that does the work

B Find the words / 2 of 2

Read the definitions and say the common word combinations aloud.

capacity gap

The amount by which required capacity exceeds the defined available capacity.

IN USE quantify the capacity gap

regular capacity

Output capability available under the stated normal operating arrangements.

IN USE confirm regular capacity

incremental capacity

Additional output capability beyond the defined base arrangements.

IN USE assess incremental capacity

decision request

The specific choice or authorization sought from the meeting.

IN USE frame the decision request

trade-off

A choice involving competing benefits, costs, or risks.

IN USE make the trade-off explicit

financial implication

The effect of a proposed plan on costs, revenue, or other financial measures.

IN USE assess financial implications

inventory exposure

The risk or commitment associated with carrying the planned stock.

IN USE quantify inventory exposure

demand trigger

A defined demand signal that prompts a specified planning action.

IN USE agree a demand trigger

decision rights

The defined authority to make particular choices.

IN USE clarify decision rights

decision log

A record of actual decisions, rationale, conditions, and owners.

IN USE update the decision log

contingent approval

Approval that takes effect only when specified conditions are met.

IN USE define contingent approval

planning handoff

Transfer of the agreed plan and conditions to the teams that execute it.

IN USE complete the planning handoff

08

Precision check

Demand and a constrained production plan are different quantities. A meeting can record a base decision, conditional upside action, or unresolved issue, but only if that is what the authorized participants actually decide. A favorable tone is not a decision record.

Phrases you can actually use

C Notice the language / 1 of 2

STATE THE DISAGREEMENT

"The proposals differ by an unconfirmed 1,500-unit promotion increment."

NAME THE UPSIDE

"The sales scenario is 12,000 units if the promotion increment is used."

QUANTIFY THE GAP

"The upside case exceeds regular capacity by 1,000 units."

FRAME THE CHOICE

"We need a decision on the planning basis and how to handle the unconfirmed increment."

SEPARATE THE REFERENCE

"The operations base case is 10,500 units."

STATE THE LIMIT

"Regular capacity is 11,000 units."

AVOID AN IMPLICIT AUTHORIZATION

"No additional capacity has been authorized."

PRESERVE THE FORECAST

"A capacity constraint does not by itself erase possible customer demand."

08

Plan

Identify whether it is a forecast, production proposal, or authorized instruction.

Aligned

Agreement needs a stated object and decision, not just a cooperative tone.

Unconstrained

Describes demand before supply limits, not permission to produce without resources.

Phrases you can actually use

C Notice the language / 2 of 2

ASK FOR THE CONDITION

"What evidence would trigger a review of the promotion increment?"

SEPARATE COST ANALYSIS

"The financial effect needs its own supported assessment."

RECORD THE ACTUAL OUTCOME

"Capture only the decision and conditions the chair confirms."

DEFINE THE HANDOFF

"Execution teams need one clear approved instruction and visible contingencies."

CLARIFY AUTHORITY

"Who can authorize the additional capacity and its cost?"

CORRECT THE MINUTES

"The note should not say agreed while the key assumption remains unresolved."

NAME THE OWNER

"Assign the promotion evidence review to a specific person."

CLOSE WITHOUT FICTION

"If the decision is deferred, record the deferral and next review explicitly."

08

Contingent

Conditions must be explicit and must not be treated as already satisfied.

Agreed

Report only a confirmed decision.

Deferred

A real decision status when the required choice remains open.

Choose the precise message

D Check your understanding

Circle one best answer for each item. Use the stated purpose and case facts, not the option that merely sounds most polite.

1. Which summary puts the choice clearly?

- A** Base 10,500; upside 12,000 with unconfirmed promotion; regular capacity 11,000; upside gap 1,000.
- B** Everyone agreed to 12,000 because the meeting was positive.
- C** The capacity gap is 1,500 because that is the promotion increment.
- D** Regular capacity proves demand cannot exceed 11,000.

08

2. What does the 11,000 capacity limit establish?

- A** That the promotion must produce exactly 500 units
- B** The stated regular supply limit, not a ceiling on possible customer demand
- C** That all forecasts above 11,000 are false
- D** That extra capacity is already approved

3. Which conditional wording is appropriate only if the chair actually approves it?

- A** Extra capacity exists because approval is desirable.
- B** Silence means every proposed action is authorized.
- C** Use the base plan and review the increment when the stated evidence trigger is met.
- D** The promotion has already generated orders.

4. What should minutes show if the choice remains unresolved?

- A** Plan agreed without conditions
- B** All proposals simultaneously approved
- C** No record because the meeting ended politely
- D** Decision deferred, with the unresolved assumption, owner, and next review identified

Answers and explanations: [page 90](#).

Ten minutes left, one assumption unresolved

E Conversations / turns 1-10

Complete the numbered gaps. Use each bank entry once, without changing its form. Cover the answers at the end until you finish.

WORD + PHRASE BANK

base case / capacity gap / Unconstrained demand / decision log / demand trigger / decision request / decision rights / planning handoff / assumption register / Contingent approval

08

- 01 **Victor:** We have ten minutes left. Sales wants twelve thousand units next month and operations proposes ten thousand five hundred, but the notes already say the plan is agreed.
- 02 **Amara:** That misstates the ¹ _____. The difference is the unconfirmed fifteen-hundred-unit promotion increment, and the meeting has not established a shared assumption for it.
- 03 **Victor:** Please put the alternatives on one basis so we can see the choice. We need to separate the demand discussion from the capacity commitment.
- 04 **Amara:** The ² _____ is ten thousand five hundred. Adding the proposed promotion increment gives twelve thousand, but that scenario does not yet represent confirmed incremental orders.
- 05 **Victor:** Regular capacity is eleven thousand. That means the sales scenario needs more capacity than we currently have under the stated operating arrangements.
- 06 **Amara:** Correct. Its ³ _____ is one thousand units. The fifteen-hundred-unit demand increment and the one-thousand-unit supply gap are different numbers because the base is below regular capacity.
- 07 **Victor:** We should not resolve the disagreement merely by cutting the demand forecast to eleven thousand. Capacity does not determine what customers might request.
- 08 **Amara:** Exactly. ⁴ _____ and a feasible production instruction are different views. We need to preserve the demand scenario while deciding what resources and commitments are actually authorized.
- 09 **Victor:** What exactly are you asking the meeting to decide today? We cannot finish with three numbers on the screen and leave execution teams to infer the instruction.
- 10 **Amara:** The ⁵ _____ is the planning basis and treatment of the unconfirmed increment. Any additional capacity would also need the responsible authorization and supporting cost assessment.

The conversation, continued

E Conversations / turns 11-20

Continue with the word bank on page 73.

- 11 **Victor:** We could potentially approve a base instruction and define what evidence would bring the upside back for review. I am describing an option, not yet announcing the decision.
- 12 **Amara:** Then we should specify the ⁶ _____. The trigger must identify the relevant evidence and action, rather than say increase production whenever the promotion seems promising.
- 13 **Victor:** We also need the right authority in the room for any extra-capacity decision. A planning recommendation is not the same as authorization to incur additional cost.
- 14 **Amara:** Clarify the ⁷ _____ and document the actual choice. If a required approval is outside this meeting, the record must say what is referred and what remains unapproved.
- 15 **Victor:** If we reach a conditional decision, the minutes should state the conditions precisely. Otherwise the next team may read a possible future action as something to do immediately.
- 16 **Amara:** Correct. ⁸ _____ is not unconditional permission. The condition, owner, and confirmation route need to travel with the instruction.
- 17 **Victor:** And if we do not resolve the promotion assumption today, we should say the decision is deferred. A polite ending is not enough to mark the whole plan agreed.
- 18 **Amara:** Yes. The ⁹ _____ should retain that open point and its owner. The next review needs a clear question rather than another version of the same ambiguous disagreement.
- 19 **Victor:** I will confirm the actual outcome before we close. Until then, remove plan agreed and prepare the base, upside, constraint, and decision request for the final discussion.
- 20 **Amara:** Then the ¹⁰ _____ can reflect what was truly authorized. Teams should receive a clear instruction with its limits, or an explicit unresolved status, not a consensus we invented after the meeting.

08

ANSWERS / EXPLANATIONS: PAGE 91

1. decision log | 2. base case | 3. capacity gap | 4. Unconstrained demand | 5. decision request | 6. demand trigger | 7. decision rights | 8. Contingent approval | 9. assumption register | 10. planning handoff

The increment and the gap differ

F Say it

A base proposal is 800 units. A proposed promotion adds 150, making an upside case of 950. Regular capacity is 900. No decision has been approved.

Complete the four gaps. Use each bank entry once.

WORD + PHRASE BANK

capacity / agreed / fifty / proposed

08

Planner: "The upside case is nine hundred ¹ _____ units."

Chair: "That exceeds regular ² _____ by 50."

Planner: "The promotion increment remains ³ _____."

Chair: "The record must not say the plan is ⁴ _____."

ANSWERS / EXPLANATIONS: PAGE 91

1. fifty | 2. capacity | 3. proposed | 4. agreed

Rehearse with a fixed script

1. Check your answers, then read turns 1-10 with a partner using the corrected words.
2. Switch roles for turns 11-20. Stress words that distinguish facts from conditions or estimates.
3. Complete and check the four-line exchange. Read it twice, switching roles and keeping the printed facts.

WORKING ALONE

Read both roles, pausing for two seconds when the speaker changes. Repeat with the bank covered, then check any missed expressions.

01 Briefing and language checks

Demand Planning and Forecast Bias

A Briefing checks / page 4

1. What is each month's signed error under the stated convention?

A. Plus 20 units

Each forecast exceeds its corresponding actual demand by twenty units.

2. What is the next-month baseline?

D. 120 units

The brief states a baseline of 120 and a separate proposed uplift of thirty.

3. What supports the promotional uplift as confirmed orders?

D. No order evidence is supplied.

The promotion is a proposed scenario, and the case explicitly supplies no supporting order evidence.

D Language checks / page 9

1. What is the total signed error across the three months?

A. Plus 60 units

Three errors of plus twenty sum to plus sixty units under the stated convention.

2. Two other errors are +10 and -10. What follows?

B. Mean error is zero, but mean absolute error is 10.

Signed errors cancel, whereas absolute errors retain the magnitude of each miss.

3. Which next-month statement is precise?

A. Baseline 120; proposed uplift 30; upside scenario 150; no order evidence supplied.

The statement separates the reference forecast, proposed increment, scenario total, and missing order evidence.

4. Why retain the original forecast snapshot?

D. To evaluate the forecast actually available at the agreed planning point

A fixed historical version prevents later knowledge from changing the forecast being evaluated.

01 Conversation answers

Demand Planning and Forecast Bias

E Dialogue gaps

Pages 10-11

- 1. overforecast.** Turn 2. Each forecast is twenty units above its corresponding actual demand, so each is an overforecast.
- 2. signed error.** Turn 4. The signed-error convention here is forecast minus actual, making overforecasts positive.
- 3. mean error.** Turn 6. Mean error averages the three signed differences: plus sixty divided by three gives plus twenty units.
- 4. mean absolute error.** Turn 8. Mean absolute error preserves error magnitude, so opposite signed misses do not cancel each other.
- 5. baseline forecast.** Turn 10. The baseline forecast remains the 120-unit reference against which the proposed promotional adjustment is shown.
- 6. promotional uplift.** Turn 12. The promotional uplift is the proposed thirty-unit increment, not an already confirmed order quantity.
- 7. cannibalization.** Turn 14. Cannibalization concerns demand transferred from another product, which may not increase total demand by the full uplift.
- 8. booked order.** Turn 16. A booked order is recorded order demand, unlike the unsupported promotional expectation in this case.
- 9. forecast snapshot.** Turn 18. The forecast snapshot records the version available at the agreed planning point so later information cannot rewrite its score.
- 10. forecast override.** Turn 20. The override is the deliberate adjustment to the baseline, whose rationale and later contribution should remain visible.

F Transfer conversation

Page 12

1. minus

Planner: "The signed error is minus twenty units."

Eighty minus one hundred equals negative twenty under the stated convention.

2. underforecast

Sales: "That is an underforecast."

Forecast demand is below actual demand in the supplied period.

3. five

Planner: "The next-month scenario totals one hundred five units."

The baseline of ninety plus fifteen gives a scenario total of 105.

4. assumption

Sales: "The uplift remains an assumption, not booked orders."

The proposed increment has no supporting order evidence in this case.

02 Briefing and language checks

Procurement and Supplier Performance

A Briefing checks / page 13

1. What has the supplier confirmed?

A. Receipt of order P46, not a shipping date

The brief supplies acknowledgment only and explicitly leaves timing and capacity unconfirmed.

2. What does October 12 refer to?

C. The buyer's required warehouse-receipt date

The requested event is receipt at the buyer's warehouse, which differs from dispatch.

3. What is promised for tomorrow at noon?

C. An update

The message schedules a status response, not a physical movement of the goods.

D Language checks / page 18

1. Which internal status is accurate now?

C. P46 acknowledged; ship date, capacity, and transit basis unconfirmed.

The status distinguishes known acknowledgment from the unresolved planning inputs without inventing a promise or breach.

2. Which supplier question is most usable?

D. What quantity can you commit to ship from which location on which date, with what transit basis?

The specific question identifies the quantity and movement details needed for a supported schedule.

3. The supplier proposes 200 units first and 300 later. What still needs clarification?

B. Dates, locations, terms, and status for both shipments

The quantities reconcile, but a usable plan still needs the timing and conditions of both movements.

4. How should tomorrow's noon appointment be reported?

A. Supplier status update due; shipment date still unconfirmed

The supplied promise concerns communication and must not be relabeled as a shipment event.

02 Conversation answers

Procurement and Supplier Performance

E Dialogue gaps

Pages 19-20

1. order acknowledgment. Turn 2. The acknowledgment confirms receipt of P46 here, not a shipping or delivery date.

2. receipt date. Turn 4. The receipt date concerns arrival and receipt at the buyer's warehouse, distinct from departure from the supplier.

3. status checkpoint. Turn 6. The noon checkpoint is a promise to provide information, not a promise that the goods will move then.

4. capacity commitment. Turn 8. The capacity commitment is not yet confirmed, so production capability cannot be treated as assigned to P46.

5. order line. Turn 10. An order line identifies a specific item and quantity, allowing different availability to be stated precisely.

6. partial shipment. Turn 12. A partial shipment sends only part of the order and requires a clear plan for both that quantity and the remainder.

7. transit time. Turn 14. Transit time describes movement between specified points and must be defined before deriving an arrival plan.

8. committed date. Turn 16. A committed date is an explicit agreed commitment, distinct from the buyer's request or an unconfirmed estimate.

9. commercial escalation. Turn 18. Commercial escalation routes the unresolved allocation and timing question to someone with the appropriate decision authority.

10. On-time delivery. Turn 20. On-time delivery needs a defined event, agreed date, location, and tolerance rather than a changing interpretation after the event.

F Transfer conversation

Page 21

1. date

Buyer: "Friday is our requested receipt date."

Friday refers to arrival at the buyer's location, not confirmed dispatch.

2. response

Supplier: "Tuesday is the promised status response."

The supplier has promised information on Tuesday rather than movement of goods.

3. unconfirmed

Buyer: "The ship date remains unconfirmed."

No dispatch commitment is supplied in the scenario.

4. delivery

Supplier: "Acknowledgment alone does not establish delivery."

Receiving the order does not demonstrate that the goods were shipped or received.

03 Briefing and language checks

Inventory, Safety Stock, and Service Levels

03

A Briefing checks / page 22

1. How many A units are available to the new orders under the supplied facts?

A. Zero, because all 40 are allocated

The forty A units are already assigned, and no reallocation is authorized in the brief.

2. How many B units are currently available under the stated quality status?

B. Zero, because all 80 are blocked

The quality hold blocks all eighty B units; demand does not supply release authorization.

3. Why does the total value not resolve the shortages?

A. Value aggregates different items and states and does not establish available A or B units.

A high aggregate value can coexist with no available stock for specific requested items.

D Language checks / page 27

1. Which management summary is accurate?

D. Inventory value is high, but A is fully allocated and B fully blocked, leaving no available stock for the new orders.

The summary distinguishes the aggregate value from the specific allocation and quality restrictions.

2. Another item has 60 on hand, 35 allocated, and 10 blocked, with no overlap. What remains free?

D. 15 units

Subtracting the separate allocated and blocked quantities from sixty leaves fifteen units.

3. Which claim about safety stock is defensible?

A. It buffers specified uncertainty but does not guarantee that every item will always be available.

A buffer depends on assumptions and cannot override status restrictions or every demand and supply outcome.

4. Why distinguish fill rate from cycle service level?

A. One concerns demand fulfilled under a definition; the other concerns stockout-free replenishment cycles.

The measures answer different service questions and their percentages are not interchangeable.

03 Conversation answers

Inventory, Safety Stock, and Service Levels

03

E Dialogue gaps

Pages 28-29

1. stock-keeping unit. Turn 2. A stock-keeping unit identifies the particular item, which the aggregate dollar balance does not distinguish.

2. allocated stock. Turn 4. The forty A units are already assigned to existing orders, so they are not free for the new demand.

3. On-hand inventory. Turn 6. On-hand inventory records physical quantity but does not by itself account for allocation or other use restrictions.

4. quality hold. Turn 8. The quality hold blocks B from use pending the required decision and is not removed by customer demand.

5. available to promise. Turn 10. Available to promise concerns what can be committed under the relevant supply and demand rules, not the gross physical balance.

6. safety stock. Turn 12. Safety stock is a buffer based on uncertainty assumptions, not an automatic cure for allocations, holds, or every shortage.

7. replenishment lead time. Turn 14. Replenishment lead time includes the defined interval to usable receipt, which can affect inventory-policy assumptions.

8. fill rate. Turn 16. Fill rate measures fulfilled demand under a specified unit and timing definition, so the basis must be stated.

9. cycle service level. Turn 18. Cycle service level concerns avoiding stockouts during replenishment cycles rather than the share of demand units filled.

10. reallocation. Turn 20. Reallocation changes which demand receives stock and requires an authorized decision rather than a second promise of the same units.

F Transfer conversation

Page 30

1. hundred

Planner: "The physical on-hand quantity is one hundred."

The physical record contains 100 units before restrictions are deducted.

2. sixty

Manager: "The allocated quantity is sixty."

Sixty units are assigned to existing demand in the supplied facts.

3. fifteen

Planner: "The remaining free quantity is fifteen."

100 minus the separate 60 allocated and 25 blocked units leaves fifteen.

4. unconfirmed

Manager: "Future replenishment remains unconfirmed."

The scenario supplies no confirmed incoming receipt or replenishment date.

04 Briefing and language checks

Warehousing and Fulfillment

04

A Briefing checks / page 31

1. How many orders remain open?

A. 130

Opening 300 plus 50 arrivals minus 220 completed orders equals 130 open orders.

2. What is the net reduction from the opening queue total?

C. 170 orders

The open total falls from 300 to 130, a net reduction of 170 after new arrivals.

3. What is unknown about the shipped orders?

C. Which were from the opening queue

The brief explicitly leaves the cohort identity of shipped orders unspecified.

D Language checks / page 36

1. Which closing report is correct?

C. 300 opening + 50 new - 220 closed = 130 open

The correct balance includes both the new arrivals and the completed orders.

2. Why is net reduction not 220?

A. Fifty new orders offset part of the 220 completions.

The case has fifty additions and no other adjustments, leaving a net reduction of 170.

3. Which statement about the oldest orders is supported?

B. Their status requires order-level age data; the total does not establish clearance.

The supplied totals do not identify which cohort or ages were included in the completions.

4. A later shift starts at 130, receives 40, and fully closes 90, with no other changes. What remains?

C. 80 open orders

The balance is 130 plus 40 minus 90, leaving eighty open orders.

04 Conversation answers

Warehousing and Fulfillment

E Dialogue gaps

Pages 37-38

- 1. order inflow.** Turn 2. The fifty new orders must be added when calculating the closing queue, not omitted from the balance.
- 2. closing balance.** Turn 4. The closing balance is 300 opening plus 50 new minus 220 closed, which equals 130 open orders.
- 3. gross completions.** Turn 6. Gross completions are the 220 fully closed orders, before the queue effect of new arrivals is included.
- 4. net reduction.** Turn 8. Net reduction is the change in the open balance, 300 minus 130, after accounting for additions.
- 5. order cohort.** Turn 10. An order cohort identifies a specific group, and the supplied totals do not show which shipped orders belonged to the opening group.
- 6. order aging.** Turn 12. Order aging shows how long specific orders remain open, which cannot be inferred from the aggregate queue total.
- 7. exception queue.** Turn 14. The exception queue groups unresolved problems for the appropriate follow-up rather than treating all remaining orders as identical work.
- 8. Shipment confirmation.** Turn 16. Shipment confirmation records the defined dispatch event, not whether a promised arrival or timing requirement was met.
- 9. partial fulfillment.** Turn 18. Partial fulfillment is not counted as a fully closed order in this case, so the completion rule must remain explicit.
- 10. warehouse management system.** Turn 20. The warehouse management system provides operational records to reconcile against the stated arrivals and completion events.

F Transfer conversation

Page 39

1. fifty

Lead: "The closing balance is fifty orders."

One hundred plus thirty minus eighty leaves fifty open orders.

2. eighty

Colleague: "Gross completions are eighty."

Eighty orders were fully closed during the shift before accounting for new arrivals.

3. thirty

Lead: "The new-order inflow is thirty."

Thirty new orders entered the queue during the shift.

4. unknown

Colleague: "The oldest-order status is still unknown."

The totals do not identify the ages of the completed or remaining orders.

04

05 Briefing and language checks

Freight, Routing, and Carrier Delays

A Briefing checks / page 40

1. What is the current arrival status?

C. Estimated Wednesday warehouse arrival, with departure unconfirmed

The carrier supplies an estimate, while a key preceding movement has not been confirmed.

2. What does Tuesday 16:00 represent?

D. A carrier status update

The appointment concerns information, not the physical shipment event.

3. What is known about the expedited route?

D. It is being assessed; capacity, cost, and timing are unconfirmed.

The alternative remains a proposal with multiple unresolved conditions.

D Language checks / page 45

1. Which customer update is accurate?

A. Warehouse arrival is estimated Wednesday; departure remains unconfirmed; next update Tuesday 16:00.

The update preserves the carrier estimate, the missing milestone, and the separate communication commitment.

2. A system shows ETD Tuesday 10:00. What does that establish?

C. A forecast departure, not proof the shipment left

ETD denotes an estimate, so a separate confirmed event is needed to report actual departure.

3. What is needed before relying on the expedited alternative?

C. Confirmed capacity, supported timing, cost, and the required authorization

The alternative's practical conditions and approval remain unresolved in the brief.

4. Which statement about an agreed Incoterms rule is accurate?

A. It allocates specified responsibilities, costs, and risks but does not itself prove arrival or guarantee the ETA.

Trade-rule obligations and physical shipment status are different questions that require different evidence.

05 Conversation answers

Freight, Routing, and Carrier Delays

E Dialogue gaps

Pages 46-47

1. estimated time of arrival. Turn 2. The ETA is a forecast arrival at the warehouse, not a guarantee of a particular time.

2. actual departure. Turn 4. Actual departure requires confirmation that the goods left the stated point, which is missing in this case.

3. last mile. Turn 6. The last mile is the final transport leg to the warehouse and remains part of the estimated arrival plan.

4. delivery appointment. Turn 8. A delivery appointment reserves or agrees a receiving slot but does not prove the vehicle will arrive then.

5. expedited freight. Turn 10. Expedited freight is being considered as a faster option, but its practical conditions are not yet confirmed.

6. premium freight cost. Turn 12. Premium freight cost is the additional expense of the proposed service and needs the required authorization.

7. capacity booking. Turn 14. A capacity booking confirms reserved space under its terms, unlike an unconfirmed routing suggestion.

8. Incoterms rule. Turn 16. An Incoterms rule allocates specified obligations, costs, and risks; it does not itself guarantee an estimated arrival date.

9. transport milestone. Turn 18. A transport milestone is a defined shipment event whose confirmation can improve the status assessment.

10. proof of delivery. Turn 20. Proof of delivery documents the actual defined delivery event, unlike an estimate or appointment.

F Transfer conversation

Page 48

1. scheduled

Coordinator: "Monday's pickup is scheduled."

A planned pickup date does not establish that collection already occurred.

2. estimated

Customer: "Thursday's arrival remains estimated."

The arrival is a forecast rather than a confirmed or guaranteed event.

3. confirmed

Coordinator: "Actual collection is not yet confirmed."

The case supplies no evidence of a completed collection event.

4. update

Customer: "Fifteen hundred is the next status update."

The time concerns communication, not guaranteed collection or arrival.

05

06 Briefing and language checks

Customs, Trade Compliance, and Documentation

A Briefing checks / page 49

1. What is the discrepancy?

A. The invoice describes steel bolts while the packing list describes aluminum brackets.

The document descriptions differ in product and material even though both list five hundred pieces.

2. What do matching counts establish?

A. Agreement on the stated count, not verification of the product description

The same number does not resolve a conflict over what the goods actually are.

3. What is missing before an accurate correction?

A. Verified product facts and the appropriate document correction process

The file needs underlying evidence and authorized correction rather than selection of a convenient description.

D Language checks / page 54

1. Which message to the exporter is most appropriate?

A. Please verify the actual product and material, then arrange authorized corrections supported by those facts.

The message seeks accurate underlying facts and controlled correction rather than an arbitrary choice between conflicting records.

2. What can be concluded from both documents stating 500 pieces?

A. Their counts match, but the goods' identity remains unresolved.

Quantity agreement does not resolve a difference in product type or composition.

3. Which origin statement is accurate?

B. Shipment country alone does not determine origin; apply the relevant rules to verified facts.

Origin is determined under applicable rules and cannot be inferred solely from dispatch location or convenience.

4. Which completion statement is supported after an authorized correction but before an agency decision?

D. The file has been corrected; customs release still needs confirmation.

Internal document correction and an actual customs release are distinct statuses.

06 Conversation answers

Customs, Trade Compliance, and Documentation

E Dialogue gaps

Pages 55-56

1. document discrepancy. Turn 2. The discrepancy is a conflict in product and material descriptions, not merely a formatting difference.

2. product specification. Turn 4. The product specification can provide verified characteristics of the actual goods to support an accurate correction.

3. material composition. Turn 6. Material composition identifies what the goods are made of, resolving the steel-versus-aluminum conflict with evidence.

4. merchandise description. Turn 8. The merchandise description should accurately identify the goods rather than hide disagreement behind a vague label.

5. corrected invoice. Turn 10. A corrected invoice is an authorized revision if the invoice is affected, not an informal alteration by an unrelated recipient.

6. revision history. Turn 12. Revision history records the original information, authorized change, and reason so the correction remains traceable.

7. Tariff classification. Turn 14. Tariff classification requires the applicable product facts and rules; the conflicting file does not supply a completed determination.

8. Country of origin. Turn 16. Country of origin is determined under applicable rules and is not automatically the country from which the shipment departed.

9. customs broker. Turn 18. The customs broker receives the verified facts and corrected records for the appropriate customs review rather than being asked to guess product identity.

10. Customs release. Turn 20. Customs release is a separate actual customs decision, not the automatic result of correcting an internal document file.

F Transfer conversation

Page 57

1. material

Coordinator: "The counts match, but the material differs."

Plastic and steel are different material descriptions despite the matching quantity.

2. facts

Exporter: "We need verified product facts."

Underlying evidence is needed before selecting or correcting either description.

3. correction

Coordinator: "The responsible issuer must authorize any correction."

A document change should follow the appropriate authority and preserve traceability.

4. release

Exporter: "A corrected file does not prove customs release."

Document correction is distinct from a confirmed customs release decision.

07 Briefing and language checks

Supply Risk and Business Continuity

A Briefing checks / page 58

1. What is the status of B's capacity?

D. Reported spare capacity, not reserved for this buyer

The supplier reports capacity but no reservation or completed qualification is supplied.

2. What does the potential shared coating site imply?

D. A possible common dependency that needs verification

A shared dependency could expose both sources to the same disruption, but the fact remains unverified.

3. What stock coverage is supplied?

C. Three weeks at the stated demand rate

The brief defines three weeks of usable stock coverage at a specified demand rate.

D Language checks / page 63

1. Which comparison is most useful?

A. Compare lead-time basis, qualification, reserved capacity, activation needs, and shared dependencies.

Continuity depends on operational readiness and exposure, not only the nominal lead-time comparison.

2. In the stated simplified scenario, stock covers three weeks and usable backup begins after four. What is the gap?

C. One week

Four weeks to usable backup exceeds the three-week buffer by one week under those assumptions.

3. Why investigate the coating site?

D. A common upstream dependency could disrupt both sources together.

Common infrastructure can make apparently separate sources vulnerable to the same event.

4. What distinguishes a recovery objective from time-to-recover evidence?

A. The objective is a target; the estimate needs support about actual restoration capability.

A desired recovery time and an evidenced estimate are different planning statements.

07 Conversation answers

Supply Risk and Business Continuity

E Dialogue gaps

Pages 64-65

- 1. source qualification.** Turn 2. Source qualification is incomplete for B, so its approval to supply the required item is not established.
- 2. capacity reservation.** Turn 4. A capacity reservation commits capability to the buyer, unlike a general statement that spare capacity exists.
- 3. activation lead time.** Turn 6. Activation lead time covers making the contingency operational, potentially beyond the supplier's quoted production lead time.
- 4. common dependency.** Turn 8. A common dependency is a shared resource that could affect both sources, but the coating-site link remains unverified.
- 5. Correlated disruption.** Turn 10. Correlated disruption can affect multiple sources together when they share an upstream exposure.
- 6. scenario test.** Turn 12. A scenario test states hypothetical conditions explicitly rather than presenting an assumption-based result as a forecast.
- 7. buffer coverage.** Turn 14. Buffer coverage measures the demand period supported by usable stock, here three weeks under the stated rate.
- 8. recovery objective.** Turn 16. A recovery objective states a target, whereas an achievable restoration estimate requires supporting evidence.
- 9. contingency trigger.** Turn 18. A contingency trigger identifies the condition that starts the planned alternative action or review.
- 10. risk register.** Turn 20. The risk register records the open exposures, evidence gaps, owners, and actions needed for the continuity assessment.

F Transfer conversation

Page 66

1. three

Planner: "The assumed supply gap is three weeks."

Five weeks to usable backup minus two weeks of stock leaves three weeks.

2. unchanged

Buyer: "The scenario assumes demand stays unchanged."

The coverage calculation uses the fixed demand condition stated in the briefing.

3. reservation

Planner: "Backup capacity still lacks a reservation."

Reported capability is not the same as supply capacity committed to this buyer.

4. guarantee

Buyer: "The calculated gap is conditional, not a guarantee."

The result depends on stated assumptions and does not promise actual recovery timing.

08 Briefing and language checks

Executive S&OP Decisions

A Briefing checks / page 67

1. What explains the numerical difference between the proposals?
A. A 1,500-unit unconfirmed promotion increment
Sales adds 1,500 to the 10,500 base proposal, but that increment is not confirmed.
2. How much does the 12,000-unit scenario exceed regular capacity?
D. 1,000 units
The upside proposal of 12,000 exceeds regular capacity of 11,000 by 1,000.
3. What decision status is supported at the start?
D. The plan is not yet agreed on the supplied facts.
The scenario explicitly leaves the promotion assumption and authorization unresolved.

08

D Language checks / page 72

1. Which summary puts the choice clearly?
A. Base 10,500; upside 12,000 with unconfirmed promotion; regular capacity 11,000; upside gap 1,000.
The summary keeps the demand increment, available capacity, and resulting capacity gap distinct.
2. What does the 11,000 capacity limit establish?
B. The stated regular supply limit, not a ceiling on possible customer demand
Supply capability and unconstrained demand are different quantities even when a plan must reconcile them.
3. Which conditional wording is appropriate only if the chair actually approves it?
C. Use the base plan and review the increment when the stated evidence trigger is met.
Conditional action can be recorded only as the actual authorized decision with explicit conditions.
4. What should minutes show if the choice remains unresolved?
D. Decision deferred, with the unresolved assumption, owner, and next review identified
An unresolved decision should remain explicit so execution teams do not act on invented consensus.

08 Conversation answers

Executive S&OP Decisions

E Dialogue gaps

Pages 73-74

1. decision log. Turn 2. The decision log should record actual choices, not claim agreement while the planning basis remains unresolved.

2. base case. Turn 4. The base case is the 10,500-unit operations proposal used as the reference for the promotion scenario.

3. capacity gap. Turn 6. The 12,000-unit upside exceeds 11,000 regular capacity by 1,000, not by the full 1,500 promotion increment.

4. Unconstrained demand. Turn 8. Unconstrained demand describes possible demand before supply limits and should not be silently reduced to match capacity.

5. decision request. Turn 10. The decision request specifies the planning basis and treatment of the unresolved promotion increment that leadership must decide.

6. demand trigger. Turn 12. A demand trigger identifies the evidence or event that would prompt reconsideration of the promotion increment.

7. decision rights. Turn 14. Decision rights identify who can authorize the relevant capacity and cost choices rather than treating any recommendation as approval.

8. Contingent approval. Turn 16. Contingent approval depends on specified conditions and must not be treated as unconditional permission before those conditions are met.

9. assumption register. Turn 18. The assumption register preserves the unresolved promotion premise, its owner, and review status rather than burying it in false agreement.

10. planning handoff. Turn 20. The planning handoff transfers only the actual agreed instruction and conditions to execution teams, not a presumed consensus.

F Transfer conversation

Page 75

1. fifty

Planner: "The upside case is nine hundred fifty units."

Eight hundred plus one hundred fifty produces an upside case of 950.

2. capacity

Chair: "That exceeds regular capacity by 50."

The 950-unit scenario is fifty above the stated capacity of 900.

3. proposed

Planner: "The promotion increment remains proposed."

The briefing describes an unapproved proposal rather than confirmed incremental demand.

4. agreed

Chair: "The record must not say the plan is agreed."

No decision has been approved, so agreement cannot be claimed.

08

Find the move you need

Use these as precise language models. Replace details only when you know the actual facts, authority, and agreed conditions.

01 Demand Planning and Forecast Bias

State the convention: Here we define signed error as forecast minus actual demand.

Limit the conclusion: This pattern does not prove every future forecast will be high.

Qualify the scenario: That produces a 150-unit scenario, not confirmed demand.

Full phrase set: pages 7-8 | Dialogue: pages 10-11

02 Procurement and Supplier Performance

Name the order: This concerns P46 for 500 units.

Separate dispatch: A ship date is not the same as a warehouse-receipt date.

Clarify the update: Tomorrow at noon is the response time, not a dispatch commitment.

Full phrase set: pages 16-17 | Dialogue: pages 19-20

03 Inventory, Safety Stock, and Service Levels

Start with the distinction: The value total does not show availability for these two items.

Keep available quantity explicit: Neither item has available stock for these new orders on the current facts.

Clarify incoming supply: A planned receipt is not yet usable on-hand inventory.

Full phrase set: pages 25-26 | Dialogue: pages 28-29

04 Warehousing and Fulfillment

Define the starting queue: We began the shift with 300 open orders.

Reconcile the ending queue: The closing balance is 130 open orders.

Avoid an age claim: The total does not prove the oldest orders were cleared.

Full phrase set: pages 34-35 | Dialogue: pages 37-38

Keep the conversation productive

Use these as precise language models. Replace details only when you know the actual facts, authority, and agreed conditions.

05 Freight, Routing, and Carrier Delays

State the latest estimate: The carrier currently estimates warehouse arrival on Wednesday.

Acknowledge the consequence: I understand that the uncertainty affects your production plan.

Describe the alternative: We are assessing expedited routing, not reporting a completed booking.

Full phrase set: pages 43-44 | Dialogue: pages 46-47

06 Customs, Trade Compliance, and Documentation

Name the discrepancy: The invoice says stainless-steel bolts; the packing list says aluminum brackets.

Request the specification: Please provide the verified product specification and relevant order details.

Keep history visible: Retain the original and the reason for the correction.

Full phrase set: pages 52-53 | Dialogue: pages 55-56

07 Supply Risk and Business Continuity

Compare like with like: A quotes two weeks; B quotes four, under their stated conditions.

Check approval: Source qualification remains incomplete.

Avoid false independence: Two supplier names do not prove independent disruption exposure.

Full phrase set: pages 61-62 | Dialogue: pages 64-65

08 Executive S&OP Decisions

State the disagreement: The proposals differ by an unconfirmed 1,500-unit promotion increment.

State the limit: Regular capacity is 11,000 units.

Preserve the forecast: A capacity constraint does not by itself erase possible customer demand.

Full phrase set: pages 70-71 | Dialogue: pages 73-74

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

ABC analysis perform ABC analysis	24
absolute error compare absolute errors	5
activation lead time estimate activation lead time	59
actual arrival record actual arrival	41
actual demand reconcile actual demand	5
actual departure confirm actual departure	41
aggregate plan review the aggregate plan	68
air waybill verify the air waybill	41
allocated stock review allocated stock	23
allocation confirm supply allocation	15
assumption register maintain the assumption register	68
available inventory confirm available inventory	23
available to promise calculate available to promise	23
backorder track a backorder	14
backorder track backorders	24
backup capacity verify backup capacity	59
base case establish the base case	68
baseline forecast preserve the baseline forecast	5
bill of lading review the bill of lading	41
blocked stock identify blocked stock	23
booked order distinguish booked orders	6
buffer coverage calculate buffer coverage	60
business continuity plan test the business continuity plan	60
cannibalization assess demand cannibalization	6

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

capacity booking	confirm the capacity booking	42
capacity commitment	secure a capacity commitment	15
capacity gap	quantify the capacity gap	69
capacity reservation	negotiate a capacity reservation	59
carrier	request a carrier update	41
closing balance	calculate the closing balance	32
commercial escalation	initiate a commercial escalation	15
commercial invoice	verify the commercial invoice	50
committed date	obtain a committed date	14
common dependency	identify a common dependency	59
consensus forecast	review the consensus forecast	6
consignee	confirm the consignee	41
consignor	identify the consignor	41
constrained plan	develop a constrained plan	68
contingency trigger	set a contingency trigger	60
contingent approval	define contingent approval	69
continuity owner	assign a continuity owner	60
corrected invoice	request a corrected invoice	51
correlated disruption	assess correlated disruption	60
country of origin	verify country of origin	50
country of shipment	distinguish country of shipment	50
customs broker	coordinate with the customs broker	51
customs release	confirm customs release	51
customs value	review customs value	50

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

cutoff time confirm the cutoff time	33
cycle service level distinguish cycle service level	24
cycle stock distinguish cycle stock	23
days of supply calculate days of supply	24
decision log update the decision log	69
decision request frame the decision request	69
decision rights clarify decision rights	69
declared quantity verify the declared quantity	51
delivery appointment confirm the delivery appointment	42
demand forecast prepare a demand forecast	5
demand review prepare the demand review	68
demand signal evaluate a demand signal	6
demand trigger agree a demand trigger	69
demurrage review demurrage terms	42
detention check detention exposure	42
dock capacity assess dock capacity	33
document discrepancy resolve a document discrepancy	51
downside case assess the downside case	68
dual sourcing assess a dual-sourcing strategy	59
due-date priority assess due-date priority	33
end use clarify the end use	50
entry documentation review entry documentation	51
estimated time of arrival qualify the estimated time of arrival	41
estimated time of departure update the estimated time of departure	41

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

exception queue	review the exception queue	33
executive S&OP	chair executive S&OP	68
expedited freight	assess expedited freight	42
expediting	request expediting	15
fill rate	define the fill-rate basis	24
financial implication	assess financial implications	69
forecast bias	monitor forecast bias	5
forecast horizon	define the forecast horizon	6
forecast lag	compare forecasts at the same lag	6
forecast override	justify a forecast override	6
forecast snapshot	preserve the forecast snapshot	6
forecast value added	evaluate forecast value added	6
freight forwarder	coordinate with the freight forwarder	41
fulfillment cycle	map the fulfillment cycle	32
geographic concentration	reduce geographic concentration	60
gross completions	report gross completions	32
gross weight	distinguish gross weight	51
Harmonized System	distinguish Harmonized System codes	50
HTSUS	consult the applicable HTSUS provision	50
importer of record	identify the importer of record	51
Incoterms rule	identify the agreed Incoterms rule	42
incremental capacity	assess incremental capacity	69
incremental demand	estimate incremental demand	5
inventory accuracy	improve inventory accuracy	24

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

inventory exposure	quantify inventory exposure	69
inventory position	state the inventory-position basis	23
inventory turnover	interpret inventory turnover	24
item segmentation	refine item segmentation	24
labor capacity	review labor capacity	33
last mile	coordinate the last mile	42
material composition	confirm material composition	50
mean absolute error	report mean absolute error	5
mean error	calculate mean error	5
merchandise description	provide a precise merchandise description	50
minimum order quantity	review the minimum order quantity	15
named place	specify the named place	42
net reduction	distinguish net reduction	32
net weight	state net weight	51
obsolete stock	assess obsolete stock	24
on-hand inventory	reconcile on-hand inventory	23
on-time delivery	define on-time delivery	15
on-time in-full	measure on-time in-full	15
opening balance	state the opening balance	32
order acknowledgment	clarify the order acknowledgment	14
order aging	review order aging	33
order backlog	reconcile the order backlog	32
order cohort	analyze an order cohort	33
order inflow	track order inflow	32

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

order line	review each order line	14
order release	schedule order release	32
overforecast	identify an overforecast	5
packing list	reconcile the packing list	50
packing verification	complete packing verification	33
partial fulfillment	flag partial fulfillment	33
partial shipment	propose a partial shipment	14
pick accuracy	monitor pick accuracy	32
pick face	replenish the pick face	32
planning handoff	complete the planning handoff	69
pre-S&OP	resolve issues in pre-S&OP	68
premium freight cost	authorize premium freight cost	42
procurement	coordinate procurement	14
product specification	obtain the product specification	50
promotional uplift	qualify promotional uplift	5
proof of delivery	obtain proof of delivery	42
purchase order	issue a purchase order	14
quality hold	respect a quality hold	23
quotation validity	confirm quotation validity	15
quoted lead time	verify the quoted lead time	59
reallocation	assess a reallocation request	24
receipt date	specify the required receipt date	14
recovery objective	define the recovery objective	60
regular capacity	confirm regular capacity	69

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

reorder point review the reorder point	23
replenishment lead time measure replenishment lead time	23
request for quotation issue a request for quotation	15
requested date distinguish requested and committed dates	14
resilience strengthen supply resilience	60
revision history preserve revision history	51
risk register update the risk register	60
routing review the routing	42
safety stock review safety-stock assumptions	23
sales and operations planning conduct sales and operations planning	68
scan event trace scan events	33
scenario assumption document the scenario assumption	6
scenario test conduct a scenario test	60
seasonality account for seasonality	6
service-level agreement review the service-level agreement	15
ship date confirm the ship date	14
shipment confirmation verify shipment confirmation	33
short pick investigate a short pick	32
signed error state the signed-error convention	5
single sourcing review single-sourcing exposure	59
slow-moving stock identify slow-moving stock	24
sole sourcing identify sole-source constraints	59
source qualification complete source qualification	59
status checkpoint set a status checkpoint	15

Find a term and its context

The page number leads to the definition and a typical word combination. Repeated terms have separate entries when they serve different lesson contexts.

stock-keeping unit analyze each stock-keeping unit	23
stockout investigate stockouts	24
subtier supplier map subtier suppliers	59
supplier lead time verify supplier lead time	14
supplier scorecard review the supplier scorecard	15
supply review complete the supply review	68
supporting evidence retain supporting evidence	51
switching cost assess switching cost	59
tariff classification obtain a classification review	50
time to recover estimate time to recover	60
time to survive assess time to survive	60
tooling transfer plan tooling transfer	59
tracking exception investigate a tracking exception	41
trade-off make the trade-off explicit	69
transit time confirm transit time	14
transport milestone confirm the transport milestone	41
transshipment assess transshipment risk	42
trend distinguish trend from noise	6
unconstrained demand state unconstrained demand	68
underforecast investigate an underforecast	5
unit of measure confirm the unit of measure	51
upside case quantify the upside case	68
warehouse management system reconcile the warehouse management system	33
wave picking organize wave picking	32

Original cases. Clear boundaries.

These are original fictional teaching conversations, not transcripts of real workers. Names, figures, organizations, and incidents are invented. Sources support terminology and communication aims, not the fictional results or an endorsement of this book.

[1] Association for Supply Chain Management. Forecast Bias.

[Open the original source](#)

Background on a forecast tending to be too high or low. The book states its own error-sign convention and uses original numerical cases. Checked 30 September 2026.

[2] Association for Supply Chain Management. Sales and Operations Planning.

[Open the original source](#)

Background on cross-functional alignment of demand, supply, and business planning. The meeting decisions and scenarios are fictional. Checked 30 September 2026.

[3] International Chamber of Commerce. Incoterms 2020.

[Open the original source](#)

Background on allocating specified delivery obligations, costs, and risks. A trade term does not itself establish that a shipment moved or guarantee arrival. Checked 30 September 2026.

[4] Electronic Code of Federal Regulations. 19 CFR 141.86.

[Open the original source](#)

US invoice requirements, including detailed merchandise descriptions. The document exercise does not classify goods, assign duty, or authorize a customs filing. Checked 30 September 2026.

Phil Stilwell

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